

PRICING PROPOSAL TO THE AUSTRALIAN ENERGY REGULATOR

DISTRIBUTION SERVICES FOR
1 JULY 2012 TO 30 JUNE 2013

ERGON ENERGY CORPORATION LIMITED

Date: 1 June 2012

AER Approved – Version 1.2



everything in our power



Revision History – 2012-13 Annual Pricing Proposal

Version	Date	Reason for Update
1.0	30 April 2012	Initial proposal to AER for 2012-13 submitted on 30 April 2012
1.1	4 May 2012	Minor amendments to adjust CPI factor applied to revenue cap calculations for Standard Control Services and calculation of prices for Alternative Control Services – Fee Based and Quoted Services.
1.2	23 May 2012	Minor amendments to Unders and Overs account Approved by the AER on 1 June 2012

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GLOSSARY

Abbreviation	Description
ABS	Australian Bureau of Statistics
ACS	Alternative Control Services
AD	Authorised Demand
AER	Australian Energy Regulator
ARR	Annual Revenue Requirement
ATMD	Any Time Maximum Demand
CAC	Connection Asset Customer
CAM	Cost Allocation Method
CPI	Consumer Price Index
DCOS	Distribution Cost of Supply
DNSP	Distribution Network Service Provider
DUOS	Distribution Use of System
EEQ	Ergon Energy Queensland Pty Ltd
EG	Embedded Generator
ENCAP Review	Queensland Electricity Network Capital Program Review 2011
Ergon Energy	Ergon Energy Corporation Limited
GWh	Gigawatt Hour
ICC	Individually Calculated Customer
kV	Kilovolt
kVA	Kilovolt-ampere
kW	Kilowatt
kWh	Kilowatt Hour
LOB	Line of Business
LRMC	Long Run Marginal Cost
MAR	Maximum Allowable Revenue
MWh	Megawatt Hour
NEL	National Electricity Law
NEM	National Electricity Market
Opex	Operating Expenditure
PTRM	Post Tax Revenue Model
QCA	Queensland Competition Authority
ROA	Return on Assets
Rules	National Electricity Rules
SAC	Standard Asset Customer
STPIS	Service Target Performance Incentive Scheme
TNSP	Transmission Network Service Provider
Tribunal	Australian Competition Tribunal
TUOS	Transmission Use of System

1 Introduction

1.1 Background

Ergon Energy Corporation Limited (Ergon Energy) is unique in the Australian electricity market in that it supplies an area which is six times the size of Victoria, and which covers 97% of Queensland.

Ergon Energy is only one step in the chain whereby electricity is generated and delivered to customers. Its role as a **Distribution Network Service Provider (DNSP)** in the electricity supply chain can be distinguished from:

- **Generators** – While Ergon Energy owns grid-connected generators at various sites in Queensland, these assets are not used for participating in either the generation or retail markets and have no impact on the National Electricity Market (NEM). Rather, these grid-connected generators are used to provide network support to ensure the reliable performance of Ergon Energy's long rural distribution feeders. The Queensland Competition Authority (QCA) has issued Ergon Energy with a Ring-Fencing waiver in relation to Ergon Energy's grid-connected generators. Ergon Energy also own and operate generators as part of isolated systems outside of the NEM that supply communities in Western Queensland, the Gulf of Carpentaria, Cape York, various Torres Strait Islands as well as Palm and Mornington Islands. None of these generation services are covered by this Pricing Proposal.
- **Transmission Network Service Providers (TNSP)** – While Ergon Energy is not a transmission company, it does own some high voltage assets that might otherwise be owned and operated by a TNSP. Clause 9.32.1(b) of the National Electricity Rules (the Rules) provides a permanent derogation in relation to the definition of "transmission network" in Queensland to allow Ergon Energy to own and operate these assets in providing distribution services.
- **Retailers** – Ergon Energy Corporation Limited is not an electricity retailer, but does own Ergon Energy Queensland Pty Ltd (EEQ). EEQ provides non-competing electricity customer retail services in regional Queensland to customers on a Standard Retail Contract or Large Customer Standard Retail Contract.

As a DNSP, Ergon Energy is subject to economic regulation by the Australian Energy Regulator (AER) under the National Electricity Law (NEL) and the Rules. It is a requirement under clause 6.18.2(a)(2) of the Rules for Ergon Energy to submit a Pricing Proposal to the AER at least two months before the commencement of the regulatory year.

This Pricing Proposal sets out the basis of how Ergon Energy has prepared its tariffs for 2012-13 and how Ergon Energy has addressed the requirements of Chapter 6 of the Rules for the third year of the 2010-15 regulatory control period.

1.2 Final Distribution Determination

On 6 May 2010 the AER made its Final Distribution Determination under Chapter 6 of the Rules. In its Final Distribution Determination, the AER approved Ergon Energy's capital and operating investment programs and set the revenue and pricing control regime that Ergon Energy must comply with over the current regulatory control period (2010-11 to 2014-15).

1.2.1 Review of the Final Distribution Determination

The AER's 2010-2015 Final Distribution Determination for Ergon Energy was the subject of an application for review to the Australian Competition Tribunal (the Tribunal) under Division 3A of Part 6 of the NEL.

On 19 May 2011, the Tribunal varied aspects of Ergon Energy's capital expenditure allowance, labour escalators and the value of gamma previously allowed for in the AER's Final Distribution Determination made on 6 May 2010. These aspects are used in the calculation of revenue Ergon Energy is permitted to recover from customers for Standard Control Services as well as in the derivation of prices for Street Lighting, Fee Based and Quoted Services.

The Tribunal also varied the AER's Final Distribution Determination on 19 May 2011 to allow Ergon Energy to charge customers other one-off costs it incurs in the delivery of Quoted Services.

Further information on the revised revenues and formulas used by Ergon Energy in the calculation of prices for Standard Control Services and Alternative Control Services as a result of the Tribunal outcomes was set out in Ergon Energy's 2011-12 Pricing Proposal approved by the AER on the 10 June 2011.

1.3 Other Matters Impacting this Pricing Proposal

1.3.1 Proposed Plan to Clear DUOS Under-recoveries

Ergon Energy's Standard Control Services are regulated under a revenue cap form of price control. The revenue cap for any given year reflects Ergon Energy's Maximum Allowable Revenue (MAR) plus any under/over adjustment required to clear the DUOS unders and overs account for the most recently completed regulatory year (i.e. for 2012-13 prices, the under/over recoveries relating to 2010-11).

Ergon Energy has under-recovered its revenue allowance associated with DUOS charges for the 2010-11 regulatory year by \$78.90M (in 2012-13 dollars) which represents 5.62% of Ergon Energy's MAR for 2012-13.

To ensure customers do not experience price shocks, Ergon Energy is proposing to spread this under-recovery over multiple regulatory years, instead of clearing the entire under-recovery as part of the network tariffs it sets for the 2012-13 regulatory year.

This approach is consistent with tolerance limit arrangements that apply to the DUOS unders and overs account set out in section 4.4.2 and Appendix D of the AER's Final Distribution Determination.

Appendix 7 provides further details on Ergon Energy's proposed plan to clear the DUOS unders and overs account.

1.3.2 Queensland Electricity Network Capital Program Review (ENCAP Review)

On 11 February 2012, Ergon Energy received a direction notice from the Queensland Government under section 115 of the *Government Owned Corporations Act 1993* to not recover a portion of its AER-approved revenue allowances for Standard Control Services for the remainder of the regulatory control period (2012-13 to 2014-15). This revenue

adjustment relates to capital expenditure savings identified through the 2011 Queensland Electricity Network Capital Program Review (ENCAP Review) findings and recommendations endorsed by the Queensland Government.

Ergon Energy has also been directed that the foregone revenue associated with the ENCAP Review should not be recovered from customers in future years. This means Ergon Energy will not set its network tariffs to recover its full revenue allowances for the remaining years of the regulatory control period, nor will it seek to recover the foregone revenues associated with the ENCAP Review via the annual unders and overs process.

Section 5.13 sets out further details on how Ergon Energy has given effect to the Queensland Government's direction to reduce revenue collected for Standard Control Services.

1.4 Relationship between this Pricing Proposal and Other Network Pricing Documents

This Pricing Proposal is supported by an additional five documents, used by Ergon Energy to assist customers, retailers and other external parties in understanding the development and application of tariffs and connection charges. The suite of documentation comprises:

- An "Information Guide for Standard Control Services Pricing";
- A "Network Tariff Guide for Standard Control Services";
- An "Information Guide for Alternative Control Services Pricing";
- A "Price List for Alternative Control Services"; and
- Ergon Energy's Capital Contributions Policy.

These documents are discussed below.

1.4.1 Information Guide for Standard Control Services Pricing

The Information Guide for Standard Control Services sets out the basis upon which Ergon Energy's Annual Revenue Requirement (ARR) for Standard Control Services is recovered from various customer groups through network tariffs. Accordingly, it includes details on the assignment of customers to tariff classes and network tariffs, a description of the network tariffs, and how the ARR is allocated to network tariffs and recovered from customers. It is therefore a "how to" guide for customers seeking to understand the relationship between the approved ARR and the network tariffs, and allows customers to readily understand the process for how their network charges are calculated. This document is published annually.

1.4.2 Information Guide for Alternative Control Services Pricing

The Information Guide for Alternative Control Services is also published annually. This Information Guide sets out the basis upon which Alternative Control Services pricing is set and approved by the AER, and sets out the basis of Quoted Services pricing including Large Customer Connections from 2010-11.

1.4.3 Network Tariff Guide for Standard Control Services

The Network Tariff Guide sets out Network Tariff Codes, application rules, and rates for each Network Tariff Code. It is used operationally by customers, retailers and consultants and applies to network users connected to Ergon Energy's regulated distribution supply network. This document is updated as required and is also published annually.

1.4.4 Price List for Alternative Control Services

Ergon Energy also publishes a similar document to the Network Tariff Guide for Alternative Control Services entitled the "Price List for Alternative Control Services". This document sets out Ergon Energy's Alternative Control Services and the prices that apply for Street Lighting Services and Fee Based Services.

1.4.5 Capital Contributions Policy

Ergon Energy's Capital Contributions Policy sets out circumstances in which a capital contribution may be required and details how Ergon Energy calculates the capital contribution to be paid when a customer applies for a connection to the distribution network.

The Capital Contributions Policy was approved by the QCA in 2005 and continues to be in force under the AER.

1.5 Application of this Pricing Proposal

This Pricing Proposal and supporting tariff schedules have been amended to reflect Ergon Energy's MAR for 2012-13 with adjustment to give effect to:

- Ergon Energy's proposal to smooth DUOS under-recoveries relating to the 2010-11 regulatory year over multiple regulatory years; and
- The Queensland Government's direction to under-collect revenue associated with the ENCAP review.

Should the AER make a determination that changes are required to any of these aspects for the 2012-13 regulatory year, Ergon Energy will revise this Pricing Proposal to give effect to the AER's amendments. If necessary, this can be done within the time allowed under clause 6.18.8(b)(1) where the AER determines that a Pricing Proposal is deficient.

The structure of this Pricing Proposal is set out as follows:

- Chapter 2 provides an overview and checklist of compliance with the requirements on Ergon Energy in relation to this Pricing Proposal;
- Chapter 3 outlines how Ergon Energy allocates its ARR and develops network tariffs for Standard Control Services. Chapter 3 also provides details on Ergon Energy's network tariffs for 2012-13;
- Chapter 4 provides an overview of how Ergon Energy develops tariffs for its Alternative Control Services. This includes Ergon Energy's Fee Based and Quoted Services and Street Lighting Services; and

- Chapter 5 provides detailed discussion on how this Pricing Proposal satisfies the requirements of the Rules and the AER's Final Distribution Determination for both Ergon Energy's Standard Control Services and Alternative Control Services.

Ergon Energy has different tariff schedules for Standard Control Services and Alternative Control Services. Both are set out in the respective Network Tariff Guide and Price List and have been reproduced in Appendix 1 (Standard Control Services) and Appendix 3 (Alternative Control Services).

Unless otherwise specified, a reference to network tariffs refers to tariffs and tariff classes for Standard Control Services.

Where a section of this document applies to both customers and embedded generators the term "network user" is used. Where the term "customer" is used in a section of this document, that section applies to customers only, that is, it does not apply to embedded generators.

Where the term TUOS is used in a section of this document, it includes all designated pricing proposal charges incurred for transmission use of system services as defined in the Rules.

1.6 Further Information

For customers seeking information about network tariffs, including tariff assignment, tariff codes, loss-factors and detailed information about operational issues relating to Standard and Alternative Control Services, the following documents should be used as primary references:

- Information Guide for Standard Control Services Pricing;
- Network Tariff Guide for Standard Control Services;
- Information Guide for Alternative Control Services Pricing;
- Price List for Alternative Control Services; and
- Ergon Energy's Capital Contributions Policy.

These documents will be available on the Ergon Energy web site at:

www.ergon.com.au/about-us/the-electricity-industry/electricity-distribution-pricing-methodologies/network-tariffs

Network users and retailers who are uncertain about the network pricing process or their particular circumstances are encouraged to contact us for assistance.

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2 Overview of Compliance Obligations

The matters that must be satisfied by the publication of this Pricing Proposal are set out in section 6.18 of the Rules. These are set out in Table 2.1 below.

Table 2.1 Compliance Obligations under the Rules

Rules Clause	Compliance Obligations	Compliance
6.18.2(b)(1)	The Pricing Proposal sets out each tariff class (including the classes of Alternative Control Services).	Tariff classes are set out and justified in section 5.1 of this Pricing Proposal.
6.18.2(b)(2)	The Pricing Proposal sets out the proposed tariffs for each tariff class.	Tariff schedules for Standard Control and Alternative Control Services are set out in Appendix 1 and Appendix 3 of this Pricing Proposal.
6.18.2(b)(3)	The Pricing Proposal sets out the charging parameters and the elements of service to which each charging parameter relates.	Details of the charging parameters and the elements of the service to which each relates are set out in section 3.2.7.
6.18.2(b)(4)	The Pricing Proposal sets out the weighted average revenue for each tariff class related to Standard Control Services.	Weighted average revenue calculations for each Standard Control Services tariff class are set out in section 5.3.
6.18.2(b)(5)	The Pricing Proposal sets out the nature of any variation or adjustment to the tariff that could occur during the course of the regulatory year and the basis on which it could occur.	Variations and adjustments are set out in section 5.10 of this Pricing Proposal.
6.18.2(b)(6) and 6.18.7	The Pricing Proposal sets out how designated pricing proposal charges incurred by Distributors for Transmission Use of System (TUOS) services are to be passed through to customers and any adjustments to tariffs resulting from over or under-recovery of those charges in the previous regulatory year.	The method of passing through designated pricing proposal charges (TUOS) to customers is set out in section 3.2.8 of this Pricing Proposal.
6.18.2(b)(6A)	The Pricing Proposal sets out how jurisdictional scheme amounts for each approved jurisdictional scheme are to be passed on to customers and any adjustments to tariffs resulting from the over or under recovery of those amounts.	Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules which allow payments made by Ergon Energy under the Queensland Government Solar Bonus Scheme to be recovered through the annual pricing proposal process. Ergon Energy's ARR for Standard Control Services includes an allowance for payments made by Ergon Energy under the Solar Bonus Scheme, in accordance with the AER's Final Distribution Determination.
6.18.2(b)(6B)	The Pricing Proposal describes how each approved jurisdictional scheme that has been amended since the last jurisdictional scheme approval date meets the jurisdictional scheme eligibility criteria.	Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules.
6.18.2(b)(7)	The Pricing Proposal sets out a method of reviewing and assessing the basis on which a customer is charged in accordance with Appendix B of the Final Distribution Determination.	Tariff assignment and the assessment and review of the basis of charge is dealt with in section 5.1 and 5.2 of this Pricing Proposal.

Rules Clause	Compliance Obligations	Compliance
6.18.2(b)(7)	The Pricing Proposal sets out any unders/overs adjustment needed to move the balance of Distribution Use of System (DUOS) unders and overs account to zero (or agreed tolerance level) in accordance with Appendix D of the Final Distribution Determination.	Unders/overs adjustments needed to move the balance of DUOS unders and overs account to zero is set out in section 5.13.2 of the Pricing Proposal.
6.18.2(b)(7)	The Pricing Proposal sets out a record of the amount of revenues recovered from TUOS charges and associated payments in accordance with Appendix E of the Final Distribution Determination.	Revenues recovered from TUOS charges and associated payments are set out in section 3.2.8.4 of this Pricing Proposal.
6.18.2(b)(7)	The Pricing Proposal sets out proposed prices for Street Lighting Services in accordance with section 17.3.3 of the Final Distribution Determination.	Prices for Street Lighting Services are set out in Appendix 3 and Appendix 5 of this Pricing Proposal.
6.18.2(b)(7)	The Pricing Proposal sets out revenue collected from Street Lighting Services in the proceeding regulatory year in accordance with section 17.3.3 of the Final Distribution Determination.	Revenue recovered from Street Lighting Services are set out in Appendix 6.
6.18.2(b)(7)	The Pricing Proposal sets out prices for Fee Based Services and examples of potential Quoted Services.	Prices for Quoted and Fee Based Services are set out in Appendix 3 and Appendix 5 of this Pricing Proposal.
6.18.2(b)(7)	The Pricing Proposal sets out quantitative information that demonstrates the calculation of prices for Quoted and Fee Based Services.	A quantitative demonstration of the calculation of Quoted and Fee Based Services are set out in Appendix 4 of this Pricing Proposal.
6.18.2(b)(7)	The Pricing Proposal sets out the nature and extent of variation to individual formula components in accordance with section 18.3.5 of the Final Distribution Determination.	Variations to individual formula components for Quoted and Fee Based Services are set out in section 5.12.
6.18.2(b)(7)	The Pricing Proposal sets out the nature and extent of any changes to the methodology used to calculate individual formula components in accordance with section 18.3.5 of the Final Distribution Determination.	Changes to the methodology used to calculate individual formula components for Quoted and Fee Based Services are set out in section 5.12.
6.18.2(b)(7)	The Pricing Proposal sets out the AER's requirement to provide the volume of Fee Based and Quoted Services provided and the revenues recovered from the provision of Fee Based and Quoted Services as required by section 18.3.5 of the Final Distribution Determination.	Fee Based and Quoted Services provided and the revenues recovered from the provision of Fee Based and Quoted Services in 2010-11 are set out in Appendix 6.
6.18.2(b)(8)	The Pricing Proposal describes the nature and extent of change from the previous regulatory year and demonstrates that the changes comply with the Rules and any applicable Distribution Determination.	Variations and adjustments are set out in section 5.11 of this Pricing Proposal.
6.18.3(a)	The Pricing Proposal defines the tariff classes into which customers for Direct Control Services are divided.	Tariff classes applicable to customers for Direct Control Services are set out and justified in section 5.1 of this Pricing Proposal.
6.18.3(b)	The Pricing Proposal demonstrates that each customer for Direct Control Services is a member of at least one tariff class.	Assignment of each customer to a tariff class is demonstrated in section 5.1.
6.18.3 (c)	The Pricing Proposal sets out separate tariff classes for Standard Control Services and Alternative Control Services.	Tariff classes for Standard Control and Alternative Control Services are set out in section 5.1 of this Pricing Proposal.

Rules Clause	Compliance Obligations	Compliance
6.18.3(d)(1)	The Pricing Proposal demonstrates that tariff classes are formed based on groupings of customers on an economically efficient basis.	A description of how tariff classes group customers on an economically efficient basis is set out in section 5.1 of this Pricing Proposal.
6.18.3(d)(2)	The Pricing Proposal demonstrates that customers and tariffs are grouped into tariff classes with regard to the need to avoid unnecessary transaction costs.	A description of how tariffs are grouped into tariff classes with regard to the need to avoid unnecessary transactions costs is set out in section 5.1 of this Pricing Proposal.
6.18.4(a)(1)(i), (ii) and (iii)	The Pricing Proposal demonstrates that customers are assigned (or re-assigned) to tariff classes on the basis of the nature and extent of their usage and the nature of their connection to the network, and that Ergon Energy has regard to the metering installed at a customer's premises when deciding whether to group a tariff into a broader tariff class.	Tariff assignment is dealt with in sections 5.1 and 5.2 of this Pricing Proposal.
6.18.4(a)(2)	The Pricing Proposal demonstrates that customers with a similar usage and connection profile are treated on an equal basis.	Tariff assignment is dealt with in sections 5.1 and 5.2 of this Pricing Proposal.
6.18.4(a)(3)	The Pricing Proposal demonstrates that customers with micro-generation facilities are treated on a basis no less favourable to customers without such facilities.	Tariff assignment is dealt with in sections 5.1 and 5.2 of this Pricing Proposal.
6.18.4(a)(4)	The Pricing Proposal demonstrates that customer assignment and reassignment to a tariff class does not occur in the absence of an effective system of assessment and review.	Tariff assignment is dealt with in sections 5.1 and 5.2 of this Pricing Proposal.
6.18.4(b)	The Pricing Proposal sets out the system of assessment and review of the basis on which a customer is charged, if the charging parameters for a tariff vary according to the customer's usage or load profile.	Tariff assignment and the assessment and review of the basis of charge is dealt with in sections 5.1 and 5.2 of this Pricing Proposal.
6.18.5(a)(1) and (2)	The Pricing Proposal demonstrates that revenue from a tariff class lies between the stand-alone and avoidable cost.	Stand-alone and avoidable cost assessments are provided in section 5.4 of this Pricing Proposal.
6.18.5(b)(1)	The Pricing Proposal demonstrates that tariffs and charging parameters have regard for long run marginal cost.	Long run marginal cost is dealt with in section 5.5 of this Pricing Proposal.
6.18.5(b)(2)(i)	The Pricing Proposal demonstrates that tariffs and charging parameters have been determined having regard to the transaction costs associated with the tariff or each charging parameter.	Tariffs and transaction costs are dealt with in section 5.6 of this Pricing Proposal.
6.18.5(b)(2)(ii)	The Pricing Proposal demonstrates that tariffs and charging parameters are set with regard to whether customers will respond to signals.	Tariffs and signals are dealt with in section 5.7 of this Pricing Proposal.
6.18.5(c)	The Pricing Proposal demonstrates that if tariffs do not recover the required revenue as a result of the operation of 6.18.5(b), that tariffs have been adjusted with minimum distortion.	This is dealt with in section 5.8 of this Pricing Proposal.
6.18.6 (a) and (b)	The Pricing Proposal demonstrates that the weighted average revenue for a Standard Control Service tariff class does not exceed that for the previous year by more than the "permissible percentage" defined in 6.18.6(c) of the Rules.	Side constraints are dealt with in section 5.9 of this Pricing Proposal.

Rules Clause	Compliance Obligations	Compliance
6.18.6(c)(1) and (2)	The Pricing Proposal demonstrates the "permissible percentage" has been calculated in accordance with the definition set out in this clause of the Rules.	Side constraints are dealt with in section 5.9 of this Pricing Proposal.
6.18.6(d)(1), (2) and (3)	The Pricing Proposal demonstrates that designated pricing proposal charges (TUOS), passthroughs and jurisdictional scheme amounts were removed from the calculation of the side constraint.	Side constraints are dealt with in section 5.9 of this Pricing Proposal.
6.18.6(e)	The Pricing Proposal demonstrates that the side constraints have not impacted on the extent to which the tariffs for a customer with remotely read interval metering will vary according to usage.	Side constraints are dealt with in section 5.9 of this Pricing Proposal.
6.18.7(a)	The Pricing Proposal demonstrates that tariffs pass on to customers the designated pricing proposal charges (TUOS) to be incurred by Ergon Energy for TUOS services.	Designated pricing proposal charges (TUOS) passed on to customers are dealt with in section 3.2.8.
6.18.7(b)	The Pricing Proposal demonstrates that the designated pricing proposal charges (TUOS) passed on to customers do not exceed the forecast charges adjusted for over or under recovery.	Designated pricing proposal charges (TUOS) passed on to customers are dealt with in section 3.2.8.4.
6.18.7(c)(1) and (2)	The Pricing Proposal demonstrates that any designated pricing proposal charges (TUOS) over or under recovery is the difference between the amount actually paid and what was recovered from customers via TUOS charges.	Designated pricing proposal charges (TUOS) passed on to customers are dealt with in section 3.2.8.4 .
6.18.7 A (a), (b),(c),(c1)	The Pricing Proposal demonstrates that tariffs pass on to customers the jurisdictional scheme amounts to be incurred by Ergon Energy for approved jurisdictional schemes in accordance with 6.18.7A of the Rules.	Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules.
6.18.8(a)(2)	The Pricing Proposal demonstrates that all forecasts associated with the proposal are reasonable.	Forecasts and the underlying rationale for estimated customer numbers, energy consumption and TUOS payments are dealt with in section 5.12.6.
6.18.9(a)(1)	The Pricing Proposal demonstrates that tariffs classes and the tariffs applicable to each class are maintained on Ergon Energy's website.	This Pricing Proposal will be published on Ergon Energy's website.
6.18.9(a)(2)	The Pricing Proposal demonstrates that charging parameters are maintained on Ergon Energy's website.	This Pricing Proposal will be published on Ergon Energy's website.
6.18.9(a)(3)	The Pricing Proposal demonstrates that Ergon Energy maintain on its website a statement of expected price trends (to be updated each regulatory year) giving an indication of how it expects prices to change over the regulatory control period and the reasons for the expected changes.	The expected price trends are set out in section 5.10. The Pricing Proposal will be published on Ergon Energy's website.

Rules Clause	Compliance Obligations	Compliance
6.18.9(b)	The Pricing Proposal demonstrates that the posting of information for a particular regulatory year must, if practicable, be posted on Ergon Energy's website 20 business days before the commencement of the relevant regulatory year and, if that is not practicable, as soon as practicable thereafter.	This Pricing Proposal will be published on Ergon Energy's website by the appropriate date. The Information Guide for Standard Control Services Pricing; Information Guide for Alternative Control Services Pricing, Network Tariff Guide for Standard Control Services, Price List for Alternative Control Services and Ergon Energy's Capital Contributions Policy as set out in section 1.4 will also be published on Ergon Energy's website.

Table 2.2 sets out additional matters that must be satisfied in the publication of a Pricing Proposal as a result of decisions handed down in the Tribunal's review of the AER's Final Distribution Determination.

Table 2.2 Australian Competition Tribunal Compliance Outcomes

	Compliance Obligations	Compliance
Tribunal Determination (Other Costs)	The Pricing Proposal sets out the AER's requirement to report on any departures from procurement processes and procedures in delivering Quoted Services that include Other Costs as required by the Tribunal Determination (Other Costs).	Departures from procurement processes and procedures are set out in section 5.12.5 of this Pricing Proposal

3 Overview of Ergon Energy's Tariffs and Tariff Setting Process for Standard Control Services

3.1 Overview of Ergon Energy's Network Tariffs for Standard Control Services

Ergon Energy's network tariffs for Standard Control Services are based on geographical location, usage and size:

- Customers are assigned to geographical zones, depending on whether they are in the eastern, western, or Mount Isa Zone of Queensland; and
- Customers are then assigned to one of four customer groups, being Individually Calculated Customers (ICC), Connection Asset Customers (CAC), Standard Asset Customers (SAC) or Embedded Generators (EG). Unmetered loads such as street lights are treated as Standard Asset Customers.

Within these groups, tariffs and charging parameters are designed to send signals to customers about their usage and the demand they place on the network.

Furthermore, ICCs, CACs and EGs connected under the Alternative Control Services Large Customer Connection arrangements are only able to access post-30 June 2010 network tariffs. These network tariffs differ from those that apply to all other ICCs, CACs and EGs in that they no longer recover the cost of new dedicated connection assets. Dedicated connection assets for ICCs, CACs and EGs will be levied as an up-front payment, or will be constructed by customers and gifted to Ergon Energy.

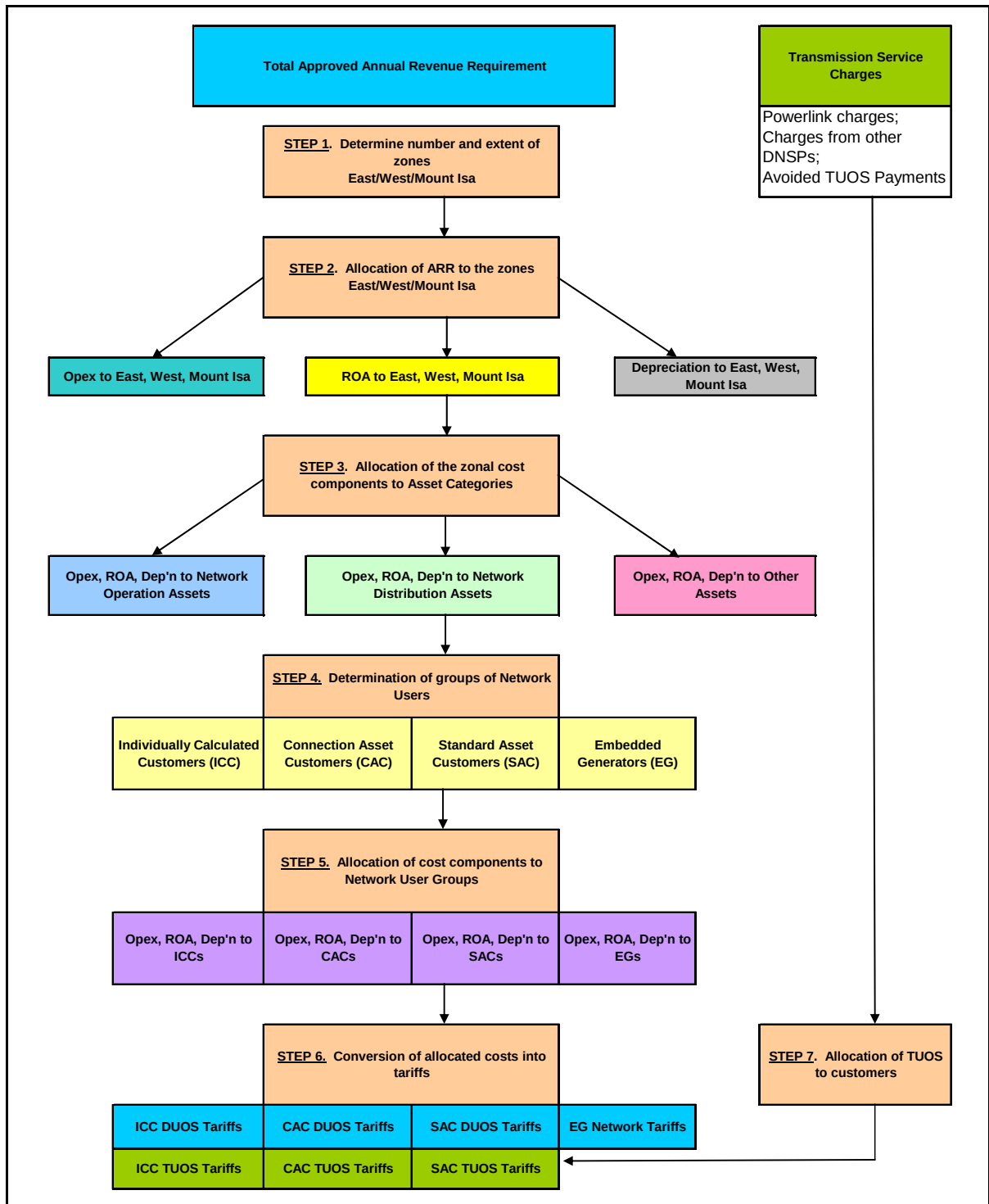
3.2 Development of Network Tariffs for Standard Control Services

The development of Ergon Energy's network tariffs involves seven steps:

1. The establishment of zones where customers have similar cost of supply (where cross-subsidisation between the higher cost western network and the lower cost eastern network is minimised);
2. The allocation of the ARR to zones;
3. The allocation of the zonal costs to the different asset categories within each zone;
4. The identification of network users of similar size or similar use of assets and their assignment to various network user groups;
5. The allocation of the costs within the zones to the network user groups;
6. The conversion of these allocated costs into network tariffs that recover those costs and are economically efficient; and
7. The allocation of TUOS to customers so as to preserve where possible the transmission pricing signals.

The network tariffs developed by Ergon Energy are cost reflective in that there is a direct relationship between the network tariff for the service and the costs of delivering that service, derived through the methodology described in this section and depicted in Figure 1 below. Further explanation of each of the seven steps is set out in the following sections.

Figure 1: Network Tariff Development



3.2.1 Step 1: Zone Determination

The first step of the overall network tariff development process is to determine the number and extent of the cost zones to be used for establishing network tariffs in the most efficient and cost reflective way.

Three pricing zones have been delineated in the Ergon Energy area of supply, broadly based on Local Government areas of Queensland, with the distribution network electrical connection being the final determinant of which zone applies. Zone pricing impacts DUOS prices only; TUOS prices are not impacted by zones. These zones are:

- (a) **The East Zone** - includes those areas where the network users are supplied from the distribution system connected to the national grid and have a relatively low distribution cost to supply;
- (b) **The West Zone** - includes those areas outside the East Zone and connected to the national grid, which have a significantly higher distribution cost of supply than the East Zone; and
- (c) **The Mount Isa Zone** - broadly defined as those areas supplied from the isolated Mount Isa system. This zone is not connected to the national grid and as such would normally be excluded from the application of the Rules. However under the *Electricity – National Scheme (Queensland) Act 1997* the Queensland Government has transferred responsibility for the economic regulation of the Mount Isa – Cloncurry supply network to the AER.

NOTE: areas supplied from isolated (remote) generation are **NOT** included in any of the above zones.

The East Zone consists of:

- The whole of the local government areas as follows:
 - o Regional Councils - Bundaberg, Cassowary Coast, Fraser Coast, Gladstone, Mackay, North Burnett, Rockhampton, South Burnett, Southern Downs, Toowoomba and Whitsunday;
 - o City Councils – Townsville; and
 - o Shire Councils – Banana, Burdekin, Hinchinbrook, Cherbourg Aboriginal, Woorabinda Aboriginal, Yarrabah Aboriginal; and
- Part of the local government areas, being:
 - o Regional Councils - Gympie (Ergon Energy area only), Cairns (excluding areas north of the Daintree River), Isaac (excluding areas west of Moranbah township), Western Downs (Dalby township and Wambo district only), Central Highlands (excluding Emerald and areas west of Emerald), Tablelands (excluding Herberton and Mareeba areas not supplied by the “East” distribution system).

The West Zone consists of:

- The whole of the local government areas as follows:
 - o Regional Councils - Barcaldine, Blackall-Tambo, Charters Towers, Longreach, Maranoa; and
 - o Shire Councils – Balonne, Bulloo, Carpentaria, Cook, Croydon, Etheridge, Flinders, Hope Vale Aboriginal, McKinlay, Murweh, Paroo, Quilpie, Richmond, Winton, Wujal Wujal Aboriginal; and
- Part of the local government areas as follows,
 - o Regional Councils – Barcoo (connected to national electricity grid only), Cairns (north of the Daintree River only), Goondiwindi (Ergon supply area), Isaac (west of Moranbah township only), Western Downs (excluding Dalby township and Wambo district), Central Highlands (Emerald and areas west of Emerald only), Tablelands (Herberton and Mareeba areas not supplied by the East Zone distribution system only).

The Mount Isa Zone consists of the regulated network within the whole of the local government areas of the Cloncurry Shire Council, Mount Isa City Council, and those parts of the Burke and Boulia Shire Councils supplied from the Mount Isa system.

Maps for each zone can be found in the Network Tariff Guide for Standard Control Services.

The determination of zones is based on a combination of:

- A comparison of the distances the customers are from a transmission connection point (the further from the connection point the more distribution assets required);
- Minimising cross-subsidisation between the higher cost less populated western networks, and the lower cost more heavily populated eastern networks (the further the distance and lower the population density the more expensive the assets and higher the cost to supply);
- Identifying those geographic areas which have a similar cost to supply (remote areas of western and far northern Queensland compared with the higher density eastern areas);
- Simplicity for customers and retailers to understand; and
- Identifying a logical "break point" in the electrical supply network (open points in the distribution system that separate different areas of supply).

3.2.2 Step 2: Allocation of the ARR to Zones

The second step in the network tariff development process is to allocate the ARR to each of the three zones. The ARR comprises the building block components Return on Assets (ROA), depreciation, operating expenditure (opex) and tax allowance, together with revenue adjustments made up of unders and overs adjustments, adjustments resulting from the AER's smoothing of the ARR, adjustments for out-turn inflation,

Service Target Performance Incentive Scheme (STPIS) adjustments, capital contributions and passthrough adjustments.

Tax allowance and revenue cap adjustments, except for capital contributions, are pro-rated across the building block cost components of ROA, depreciation and opex based on each building block's share of the total ARR. Capital contributions adjustments are allocated directly to the tariff classes to which they are attributable.

The final composite building block cost components are allocated to each of the three zones by apportioning each component using the following cost drivers:

- Opex – allocated on asset values, customer numbers and energy usage;
- ROA – allocated on asset values; and
- Depreciation – allocated on asset values.

Where networks in the West Zone are supplied by shared network systems in the East Zone, the appropriate allocators are used to apportion a share of the cost to both zones.

3.2.3 Step 3: Allocation of the Zonal Costs to Asset Categories

The third step of the network tariff development process is to apportion the zone costs to the different asset categories within each zone. This takes place within Ergon Energy's tariff development model, the Distribution Cost of Supply (DCOS) Model.

The asset categories are:

- Network Operation Assets - system assets associated with monitoring and controlling the distribution network from the operational control centres.
- Network Distribution Assets - system assets employed in the provision of network connection and distribution services. These assets are further categorised by voltage level as follows:
 - o 110/132 kV;
 - o 66 kV Bus;
 - o 66 kV Line;
 - o 33 kV Bus;
 - o 33 kV Line;
 - o 22/11 kV Bus;
 - o 22/11 kV Line;
 - o Low Voltage;
 - o Services (Low Voltage only); and
 - o Meters & Relays.
- Other Assets - non-system assets (e.g. vehicles, computers, buildings etc.).

3.2.3.1 Subdivision of Cost Components

The building block costs by zone are then allocated to the asset categories as follows.

3.2.3.1.1 Operating Expenditure

To ensure costs are allocated to network users as cost reflectively as possible, the opex “building block” is separated into three cost components:

(a) Network Operating costs are:

- Associated with monitoring and controlling the distribution network from the operational control centres;
- Not directly related to any single customer or group of customers;
- Allocated directly to the customers based on energy usage; and
- Not applicable to embedded generators.

(b) Network Maintenance costs are:

- Associated with the repair and maintenance of the distribution network within the categories Preventive, Corrective and Forced Maintenance; and
- Allocated to the voltage level asset categories based on asset values.

(c) Other Asset Operating costs are:

- The summation of the non-system based costs (e.g. corporate shared costs (overheads), customer services, computer systems, human resources, etc);
- Treated as a group as it is impractical to manage a cost allocation process for each of the specific components; and
- Allocated directly to the network users based on hybrid allocation of network user numbers and energy usage, and applied to all network users.

3.2.3.1.2 Return on Assets

The return on assets component is allocated to the asset categories as follows:

(a) Network Operation Assets ROA is:

- Allocated to the network operations asset categories on the basis of asset values.

(b) Network Distribution Assets ROA is:

- Allocated to the voltage level asset categories on the basis of asset values.

(c) Other Assets ROA is:

- Allocated to the other asset categories on the basis of asset values.

3.2.3.1.3 Depreciation

The depreciation allowance is allocated to the asset categories as follows:

(a) Network Operation Assets Depreciation is:

- Allocated to the network operation asset categories on the basis of asset values.

(b) Network Distribution Assets Depreciation is:

- Allocated to the voltage level asset categories on the basis of asset values.

(c) Other Assets Depreciation is:

- Allocated to the other asset categories on the basis of asset values.

3.2.4 Step 4: Determination of Groups of Network Users

In this fourth step it is necessary to determine the groups of network users that will be used to recover Ergon Energy's ARR for Standard Control Services.

To provide the appropriate economic and cost of supply signals, four major groups of customers have been established (with multiple tariff classes within these groups). These are:

- ICC;
- CAC;
- SAC; and
- EG.

The purpose of the above four groups is to enable network tariffs to be developed that provide individual or direct cost of supply signals to those network users where possible while recognising that it is not possible to price every network user individually. There is a trade-off at the distribution level between the complexity of individual price calculation and the inefficiencies created through price averaging. A practical limit also arises in the number of site specific network tariffs that can feasibly be determined and administered.

A description of the four major customer groups and their tariff classes are as follows:

3.2.4.1 Individually Calculated Customers

ICCs are those customers:

- With energy consumption typically greater than 40 GWh per annum; or
- With energy consumption lower than 40 GWh per annum where:
 - o A customer has a dedicated supply system which is quite different and separate from the remainder of the supply network;

- o There are only two or three customers in a supply system making average prices inappropriate;
- o A customer is connected at or close to a transmission connection point; or
- o Inequitable treatment of otherwise comparable customers arising from the 40 GWh threshold.

ICC network tariffs are based on:

- The actual dedicated connection assets utilised by the customer;
- The customer's specifically identified portion of any shared distribution network utilised for the electricity supply;
- Whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

3.2.4.2 Connection Asset Customers

CACs are those customers:

- With required capacity above 1,500kVA;
- With energy consumption typically greater than 4 GWh per annum; or
- With required capacity below 1,500kVA where:
 - o A customer has a dedicated supply system which is quite different and separate from the remainder of the supply network; or
 - o Inequitable treatment of otherwise comparable customers arising from the 4 GWh threshold.

CAC network tariffs are based on:

- The actual dedicated connection assets utilised by the customer;
- Average charges for use of the shared network;
- Whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

The CAC group is further subdivided into categories based on voltage levels as follows:

- 66kV - connected to either a 66kV substation or a 66kV line;
- 33kV - connected to either a 33kV substation or a 33kV line;

- 22/11kVBus - connected to either a 22kV or 11kV substation; and
- 22/11kVLine - connected to either a 22kV or 11kV line.

3.2.4.3 Standard Asset Customers

All other load customers are classified as SACs. This includes customers with micro generation facilities (such as small scale photovoltaic (PV) generators) that have a similar service connection and usage profile as other SACs without such facilities. Customers taking supply at LV with a generator installed with a capacity less than or equal to 1MW, will generally be classified as a SAC unless the connection assets are considered to be quite different from that supplying other SACs.

SAC network tariffs are based on:

- Average charges for dedicated connection assets;
- Average charges for use of the shared network; and
- The locality of the customer – whether the customer is in the East, West or Mount Isa Zone of Ergon Energy's network.

The SAC group is further subdivided into network tariff categories based on:

- Whether the customer's connection is metered or unmetered;
- Whether the customer is taking supply at high voltage or low voltage;
- Whether the customer's consumption is above or below 100 MWh per annum;
- Whether the customer has a meter installed capable of recording demand; and
- Whether the customer's supply is capable of being controlled by Ergon Energy.

The network tariffs applying to the SAC group are as follows:

- Demand High Voltage
- Demand Large
- Demand Medium
- Demand Small
- Volume Large
- Volume Small
- Volume Controlled
- Volume Night Controlled
- Volume Unmetered

A further description of the network tariffs is set out in section 3.3.7.

3.2.4.4 Embedded Generators

Embedded Generators (EGs) are customers that export energy into the distribution system other than customers with micro generation facilities that have been classified as a SAC.

EGs are further separated into two categories:

- EGs that are connected to the distribution system and only generate into the distribution system – these network tariffs are based on identifying the share of the dedicated connection assets utilised by the generator; or
- EGs that are connected to the distribution system, generate and take load from the system:
 - o The generator side of the EG's network tariffs are based on identifying the share of the dedicated connection assets utilised by the generator; and
 - o The load side of the EG's network tariffs are based on identifying the share of dedicated and shared network assets utilised by the load, depending on the user group allocated (ICC, CAC or SAC);
- All EG network tariffs are based on whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- The locality of the customer – East, West or Mount Isa Zone.

3.2.5 Step 5: Allocation of the Costs within the Zones to the Network User Groups

The fifth step of the overall network tariff development process is to allocate or assign the costs to the network user groups in the most efficient and cost reflective way.

3.2.5.1 Allocation of Costs to ICCs

For each ICC:

- Network Operation Asset costs (i.e. the ROA, depreciation and opex) are allocated on the basis of each ICC's energy consumption;
- Network Distribution Asset costs (i.e. ROA, depreciation and opex) for both dedicated connection assets and shared assets are allocated as follows:
 - o The costs are broken down by voltage level asset category and allocated to each ICC separately based on the proportion of the ICC's replacement cost for that asset category to the whole-of-network replacement cost for that asset category;
 - o The costs allocated to each ICC by voltage level asset category are summed to give the total cost for each ICC.
- Other Assets costs (i.e. ROA, depreciation and opex) are fixed for each ICC and are calculated based on the equal sharing of the total other asset costs to be allocated to all ICCs, which is in turn based on the proportion of ICC customer

3.2.5.2 Allocation of Costs to CACs

For each CAC:

- Network Operation Asset costs (i.e. the ROA, depreciation and opex) are allocated on the basis of each CAC's energy consumption;
- Network Distribution Asset costs (i.e. ROA, depreciation and opex) for both dedicated connection assets and shared assets are allocated as follows:
 - o For dedicated assets, costs are broken down by voltage level asset category and allocated to each CAC separately based on the proportion of the CAC's replacement cost for that asset category to the whole-of-network replacement cost for that asset category;
 - o For shared assets, costs are broken down by voltage level asset category and allocated to each CAC separately based on the proportion of each CAC's kW demand to the kW demand for that asset category; and
 - o The costs allocated to each CAC by voltage level asset category are summed to give the total cost for each CAC.
- Other assets costs have both a fixed and variable component with each component allocated 50% of each CAC's total other asset costs. The variable component is allocated to each CAC on the basis of each CAC's energy consumption.

3.2.5.3 Allocation of Costs to Embedded Generators

Costs are allocated to each EG in the same manner as for CACs. However no Network Operation Asset costs are allocated to EGs.

3.2.5.4 Allocation of Costs to SACs

Unlike ICCs, CACs and EGs, costs are not allocated directly to individual SACs. Rather they are allocated to SAC network tariff categories according to the following process:

- The connection asset costs for each SAC network tariff category are calculated for each asset category utilised by the SAC network tariff category based on the replacement cost of those assets;
- The shared network costs for each SAC network tariff category are allocated based on the Any Time Maximum Demand (ATMD) of that SAC network tariff category;
- Network Operation Asset costs are allocated to each SAC network tariff category on the basis of energy consumption; and
- Other Assets costs are allocated to each SAC network tariff category on the basis of both customer numbers and energy consumption.

3.2.6 Cost Allocation for Post 30 June 2010 Tariffs

There will be no allocation of ROA and depreciation associated with dedicated connection assets for those ICCs, CACs and EGs connected under the Large Customer Connection arrangements that apply from 30 June 2010. As set out in section 3.1, these customers are only able to access the new post 30 June 2010 network tariffs. The cost of new or augmented dedicated connection assets will be recovered from customers as an upfront payment or alternatively assets will be gifted to Ergon Energy following construction by customers.

3.2.7 Step 6: Conversion of the Allocated Costs into Distribution System Tariffs

The sixth step in the development of network tariffs is the conversion of the allocated costs for network users to network tariffs.

The network tariffs comprise a number of charging parameters, each selected and structured to provide signals to network users about the efficient use of the network and the impact of their usage on future network capacity and costs.

In developing network tariffs, Ergon Energy has sought to have the charging parameters signal the impact that the network users will have on the network, whilst:

- Managing the demand and volume variance risk;
- Minimising zonal boundary issues between and within network user groups; and
- Avoiding any signals that may result in perverse outcomes.

3.2.7.1 Fixed Charges

The fixed charge is intended to reflect the incremental costs that arise from the connection and management of the network user. This sends a clear signal to the network user about the economic value of the dedicated connection assets. Network users can manage these costs by ensuring that the dedicated connection assets installed match their load and reliability requirement. For SACs <100 MWh the fixed charge also recovers a portion of the shared network costs.

3.2.7.2 Capacity and Actual Demand Charges

Shared network costs for ICCs, CACs and SACs >100 MWh are recovered through the capacity charge and/or actual demand charge components. These charges provide the economic signals to the customers on the existing and future use of the shared network on the basis that customers who place greater pressure on the system incur higher charges.

The demand used for the calculation of the capacity charge is the authorised demand, or if no authorised demand, the annual maximum demand in the previous full pricing period prior to the setting of prices. Under certain circumstances, where there has been a significant change in demand attributable to a network user's load change after this previous pricing period, a more recent demand may be substituted.

The demand used for the calculation of the actual demand charge is the annual average demand, i.e. the average of the monthly maximum demands in the previous full pricing

period prior to the setting of prices. Under certain circumstances, where there has been a significant change in demand attributable to a network user's load change after this previous pricing period, a more recent average demand may be substituted.

The capacity charge applies to ICC and CAC network users only. For SACs >100 MWh a minimum chargeable actual demand charge applies instead of a capacity charge.

SACs <100 MWh do not have either a capacity charge or an actual demand charge. The shared network component for these customers is recovered through a combination of the fixed charge and the volume charge.

3.2.7.3 Volume Charges

The volume charge is used to recover Network Operation Asset costs and a portion of the Other Assets costs not recovered in the fixed charge. For SACs <100 MWh, the volume charge also recovers a portion of the shared network costs not included in the fixed charge. The volume charge applies to the energy (kWh) metered at the customer's installation.

3.2.8 Step 7: Allocation of Designated Pricing Proposal Charges Incurred for the TUOS Services to Customers

Clause 6.18.7(a) of the Rules requires Ergon Energy's Pricing Proposal to provide for tariffs designed to pass on to customers the designated pricing proposal charges to be incurred for TUOS services.

Designated pricing proposal charges include:

- (a) charges for prescribed exit services, prescribed common transmission services and prescribed TUOS services. These charges are billed to Ergon Energy by the Queensland TNSP, Powerlink;
- (b) avoided customer TUOS charges;
- (c) charges for distribution services provided by another DNSP; and
- (d) charges or payments specified in Clause 11.39 of the Rules which include:
 - (i) charges levied on Ergon Energy for use of the 220kV network which supplies the Cloncurry network; and
 - (ii) entry and exit services charged by Powerlink at 4 connection points - Queensland Nickel, Stoney Creek, Kings Creek and Oakey Town.

This means that the Rules provide for Ergon Energy to recover costs related to the payments of TUOS to Powerlink, Avoided TUOS payments to eligible EGs and payments to other DNSPs for the use of their network. This means that any designated pricing proposal charges incurred by Ergon Energy will be regarded as TUOS for the purposes of this Pricing Proposal.

The allocation of TUOS charges to customers in the formation of tariffs is the seventh step in the pricing process. This is undertaken on the basis shown below.

3.2.8.1 Allocation of Powerlink Charges

Powerlink's charges are allocated on the basis that customers who are able to respond to a TUOS signal should receive that signal. Ergon Energy's network tariff calculation process passes through Powerlink charges as cost reflectively as possible. Powerlink charge Ergon Energy at an aggregated level by transmission connection point which means that Ergon Energy needs to devise a methodology to apportion the various components of the Powerlink charges to customers.

The TUOS charges charged to Ergon Energy by Powerlink at each transmission connection point have five components:

- Connection Price (\$ per month);
- TUOS Locational Charge (demand component) (\$ per kW of Nominated Demand per month);
- TUOS Locational Charge (month average demand component (\$ per kW of Average Demand per month);
- Customer TUOS General Energy Charge (cents per kWh on historical energy); and
- Customer TUOS Common Service Energy Charge (cents per kWh on historical energy).

These charges are apportioned by Ergon Energy to customers and/or customer groups on the basis of forecast ATMD with respect to connection price and usage capacity price and apportioned on the basis of historical and forecast energy for the remaining components.

For ICCs and CACs Ergon Energy has a number of regional centres where a meshed distribution network sits below the transmission network meaning that customers can be supplied from different connection points depending on switching arrangements. A weighted average methodology is applied for each of these locations so that all customers who are supplied via a regional meshed network have the same TUOS rates.

For SACs >100 MWh and <100 MWh, there are a large number of locational TUOS rates which vary from region to region. The TUOS rates within each geographical region are combined in order to simplify and provide clear TUOS locational signals for these smaller customers.

3.2.8.2 Network Charges from Other DNSPs

In the Toowoomba area, Ergon Energy utilises network services from the other Queensland DNSP, Energex, to supply a small group of customers that cannot be economically supplied from the Ergon Energy distribution system. Energex bills Ergon Energy a network service charge for these network services. Additionally in the Mount Isa Zone, Ergon Energy is charged for the use of the unregulated 220kV network which supplies the Cloncurry township.

These costs are recovered by Ergon Energy as part of the TUOS charges passed through to customers.

3.2.8.3 Avoided TUOS Payments

Where Ergon Energy is liable for an Avoided TUOS payment to an EG, the payment amount is recovered by Ergon Energy as part of the TUOS charges passed through to customers at the same connection point as the EG.

3.2.8.4 Recovery of Designated Pricing Proposal Charges Incurred for TUOS

Clause 6.18.7(b) of the Rules requires that the amount to be passed on to customers for a particular regulatory year must not exceed the estimated amount of the designated pricing proposal (TUOS) charges for the relevant regulatory year adjusted for any over or under recovery.

Furthermore, Clause 6.18.7(c) of the Rules states that:

The over and under recovery amount must be calculated in a way that:

- (1) is consistent with the method determined by the AER in the relevant distribution determination for the Distribution Network Service Provider; and*
- (2) ensures a Distribution Network Service Provider is able to recover from customers no more and no less than the designated pricing proposal charges it incurs; and*
- (3) adjusts for an appropriate cost of capital that is consistent with the rate of return used in the relevant distribution determination for the relevant regulatory year.*

Appendix E of the AER's Final Distribution Determination sets out the requirements that Ergon Energy must comply with under Clause 6.18.7 of the Rules.

Ergon Energy ensures that any difference between TUOS revenue recovered from customers and the actual TUOS and related costs paid by Ergon Energy is offset by an annual unders and overs process. Under these arrangements there is a two year lag between the year in which the under-recovery or over-recovery occurs and the year in which the adjustment to the expected TUOS revenue to be recovered is made.

During 2010-11 there was a \$5.75 million (2010-11 dollars) under-recovery of TUOS revenue. Consequently, Ergon Energy will increase the TUOS revenue to be recovered from customers in 2012-13 by \$6.92 million (in 2012-13 dollars).

Table 3.1 below satisfies the requirements of Appendix E of the AER's Final Distribution Determination and hence clause 6.18.7 of the Rules.

Appendix 2 sets out the calculation of the TUOS unders and overs account.

Table 3.1: Calculation of TUOS Unders and Overs Account (\$'000)

	2010-11	2012-13
	Actual	Forecast
Revenue from TUOS charges	\$263,906	\$317,415
Less under/over adjustment approved by the regulator for year t-2 ¹	\$1,200	n/a
Less total transmission related payments	\$270,856	\$310,493
Transmission charges to be paid to TNSPs	\$266,053	\$304,543
Avoided TUOS payment to EGs	\$2,420	\$2,574
Payment to Other DNSPs	\$2,383	\$3,376
Over/(Under) Recovery	(\$5,750)	\$6,922
Overs and Unders Account		
Nominal WACC - as determined by AER	9.72%	n/a
Opening balance	\$0	(\$6,922)
Under/over recovery for regulatory year 2010-11	(\$5,750)	\$6,922
Interest on under/over recovery for regulatory year 2010-11	(\$1,172)	n/a
Closing Balance	(\$6,922)	\$0.0

¹ Relates to an adjustment to return revenues associated with an over-recovery from the 2008-09 regulatory year in accordance with QCA letter to the AER dated 28 January 2010.

3.3 Network Tariff Structures

3.3.1 ICC Customers

Network tariffs incorporate customer specific charges for each of the following charging parameters:

- A Fixed Charge (\$/day);
- A Capacity Charge (\$/kW of Authorised Demand (AD)/month);
- An Actual Demand Charge (\$/kW/month); and
- A Volume Charge (\$/kWh).

3.3.2 CAC Customers

Network tariffs incorporate customer specific charges for the fixed charge parameter and an average for each voltage category for the other charging parameters as follows:

- A Fixed Charge (\$/day);
- A Capacity Charge (\$/kW of AD/month);
- An Actual Demand Charge (\$/kW/month); and
- A Volume Charge (\$/kWh).

3.3.3 SAC >100 MWh Customers

Network tariffs incorporate average charges for each of the following:

- A Fixed Charge (\$/day);
- An Actual Demand Charge (\$/kW/month); and
- A Volume Charge (\$/kWh).

3.3.4 SAC <100 MWh Customers

Network tariffs incorporate average charges for each of the following:

- A Fixed Charge (\$/day); and
- A Volume Charge (\$/kWh).

3.3.5 Embedded Generators

For those EGs that only generate into the distribution system a Fixed Charge (\$/day) network tariff applies.

3.3.6 Customers which are both Load Customers and Embedded Generators

For those sites that generate into and take load from the distribution system, network tariffs are based on:

- A Fixed Charge (\$/day) for the generator output to the distribution system; and
- Whether a customer is an ICC, CAC or SAC for load taken from the distribution system. The applicable network tariffs will then apply.

3.3.7 Summary of Network Tariffs by Network User Group

A listing and description of Ergon Energy's network tariffs by network user group is set out below.

Network User	Network Tariff	Description / Tariff Conditions	Charging Parameters			
			Fixed Charge (\$/day)	Capacity Charge (\$/KW of AD/mth)	Actual Demand Charge (\$/KW/ mth)	Volume Charge (\$/kWh)
ICC	ICC	Applies to customers classified as an ICC in accordance with section 3.2.4.	✓	✓	✓	✓
CAC	CAC – 66kV	Applies to customers connected to either a 66kV substation or a 66kV line who are classified as a CAC in accordance with section 3.2.4.	✓	✓	✓	✓
	CAC – 33kV	Applies to customers connected to either a 33kV substation or a 33kV line who are classified as a CAC in accordance with section 3.2.4.	✓	✓	✓	✓
	CAC – 22/11kV Bus	Applies to customers connected to either a 22kV or 11kV substation who are classified as a CAC in accordance with section 3.2.4	✓	✓	✓	✓
	CAC – 22/11kV Line	Applies to customers connected to either a 22kV or 11kV line who are classified as a CAC in accordance with section 3.2.4.	✓	✓	✓	✓
EG	EG	Applies to customers classified as an EG in accordance with section 3.2.4. Tariff applies to generation side only. Additional tariffs apply to the load side of an EG.	✓			
SAC >100 MWh pa	Demand High Voltage	Primary tariff available to high voltage metered customers who are not otherwise classified as an ICC, CAC or EG in accordance with section 3.2.4. Minimum chargeable demand - 400kW	✓		✓	✓
	Demand Large	Primary tariff available for SAC customers consuming more than 100MWh per annum. Minimum chargeable demand – 400kW	✓		✓	✓
	Demand Medium	Primary tariff available for SAC customers consuming more than 100MWh per annum. Minimum chargeable demand – 120kW	✓		✓	✓
	Demand Small	Primary tariff available for SAC customers consuming more than 100MWh per annum. Minimum chargeable demand – 30kW	✓		✓	✓

Network User	Network Tariff	Description / Tariff Conditions	Charging Parameters			
			Fixed Charge (\$/day)	Capacity Charge (\$/KW of AD/mth)	Actual Demand Charge (\$/KW/ mth)	Volume Charge (\$/kWh)
SAC <100 MWh pa	Volume Large	Primary tariff that applies to customers with consumption typically between 26 MWh and 100 MWh per annum	✓			✓
	Volume Small	Primary tariff that applies to customers with consumption typically less than 26 MWh per annum.	✓			✓
	Volume Controlled	Secondary tariff available for customers consuming less than 100 MWh p.a. who have loads that are eligible to have supply controlled by Ergon Energy (e.g. hot water, air-conditioning, pool pumps, etc). Supply is generally available for a minimum period of 18 hours each day, at the absolute discretion of Ergon Energy.	✓			✓
	Volume Night Controlled	Secondary tariff available for customers consuming less than 100 MWh p.a. who have loads that are eligible to have supply controlled by Ergon Energy. Supply is generally available for a minimum period of 8 hours each day, at the absolute discretion of Ergon Energy, but usually for a limited number of hours each night in off-peak periods.	✓			✓
	Volume Unmetered	Applies to small uniform loads approved to be unmetered by Ergon Energy. This includes the provision of energy to street lights, traffic lights, watchman lights and other types of unmetered public amenities (illuminated signs, phone boxes, barbeques etc).	✓			✓

3.3.8 Tariff Schedules: Standard Control Services

Appendix 1 sets out the tariffs that comprise each Standard Control Service tariff class and the charging parameters that make up each tariff.

4 Overview of Ergon Energy's Tariffs and Tariff Setting Process for Alternative Control Services

4.1 Overview of Ergon Energy's Tariffs for Fee Based and Quoted Services

Apart from Street Lighting Services, Ergon Energy provides two types of Alternative Control Services. These are:

- Fee Based Services – where the costs of providing a service, and therefore a price, can be assessed in advance of the service being requested by a customer; and
- Quoted Services – these are one-off activities, such as repairing damage to Ergon Energy's assets or asset based services undertaken at the request of a customer, that Ergon Energy undertakes and recovers costs directly from customers who utilise the service. The nature and scope of these services are specific to individual retailer's or customer's needs, and therefore the cost of providing the services cannot be estimated without first understanding the retailer's or customer's requirements. This means that Ergon Energy must set individual prices for these services after they have been requested, and it is not possible to set a generic price in advance for the provision of these types of services.

The tariffs for both types of services are specific to the service that is being requested, and are payable on a per service basis. For example, Fee Based Services include de-energisations, re-energisations, supply abolishment and temporary builders supply services. Examples of Quoted Services include Large Customer Connection services, provision of emergency recoverable works, and removal or relocation of Ergon Energy's assets at a customer's request.

4.2 Tariff Setting Process for Fee Based and Quoted Services

4.2.1 Fee Based Services

In accordance with section 18.4 of the AER's Final Distribution Determination, Ergon Energy will apply the following formula when calculating the tariffs to be levied for its **Fee Based Services**.

$$P_i = L_i + M_i + CA_i + GST_i$$

Where:

L_i = the cost of labour involved in the delivery of the service, calculated as the product of an hourly rate (inclusive of on-costs and shared costs (overheads)) and the time spent by the personnel involved. The amount of time includes both travel time and the time spent delivering the service.

M_i = the cost of non-capitalised materials expensed in the delivery of the service (inclusive of overheads).

CAi = reflects the use of non-system physical assets owned by Ergon Energy involved in the delivery of the service. This charge reflects the ROA and depreciation of those assets employed in the delivery of the service (e.g. trucks and IT systems).

GST = the Goods and Services Tax component of the service charge.

The AER requires Ergon Energy to recalculate its labour and material escalators and overheads in each year of the regulatory control period. Quantitative and qualitative information is provided in the Pricing Proposal where changes have been proposed to the approved escalators and overheads. This information is set out in section 5.12 of this Pricing Proposal.

Ergon Energy's 2012-13 tariffs for its Fee Based Services are set out in Appendix 3. The calculation of Ergon Energy's Fee Based prices is set out in (confidential) Appendix 4.

4.2.2 Quoted Services

In accordance with the Tribunal's Determination made on 19 May 2011, Ergon Energy will apply the following formula when calculating the tariffs to be levied for its **Quoted Services**.

$$P_i = L_i + M_i + OC_i + CA_i + GST_i$$

Where:

L_i = the cost of labour involved in the delivery of the service, calculated as the product of an hourly rate (inclusive of on-costs and shared costs (overheads)) and the time spent by the personnel involved. The amount of time includes both travel time and the time spent delivering the service.

M_i = the cost of non-capitalised materials expensed in the delivery of the service (inclusive of overheads). For large new customer connection services, this could include large scale capital items which are charged directly to customers.

OC_i = is other one off costs (inclusive of overheads) relating to the delivery of the service, including:

- (a) the hire or supply of assets and equipment;
- (b) the supply of services such as contractors and external labour; and
- (c) the cost of permits.

Other Costs are to be charged to customers at their cost to Ergon Energy plus overheads.

CAi = reflects the use of non-system physical assets owned by Ergon Energy involved in the delivery of the service. This charge reflects the ROA and depreciation of those assets employed in the delivery of the service (e.g. trucks and IT systems).

GST = the Goods and Services Tax component of the service charge.

The AER requires Ergon Energy to recalculate its labour and material escalators and overheads in each year of the regulatory control period. Quantitative and qualitative information is provided in the Pricing Proposal where changes have been proposed to the approved escalators and overheads. This information is set out in section 5.12 of this Pricing Proposal.

Examples of 2012-13 tariffs which apply to Ergon Energy's Quoted Services are set out in Appendix 3. The calculation of Ergon Energy's Quoted Services prices is set out in (confidential) Appendix 4.

4.3 Queensland Government Caps on Fee Based and Quoted Services

4.3.1 Background

The Queensland Government has set maximum price caps to apply to a significant subset of Ergon Energy's Fee Based and Quoted Services through Schedule 8 of the *Electricity Regulation 2006*. Because the price caps are imposed through legislation, they take precedence over the prices approved by the AER. This means that Ergon Energy cannot recover its full costs of providing these services.

Furthermore, the Queensland Government has not established a mechanism by which the capped prices for these Services may be revised annually to reflect actual costs.

4.3.2 Maximum Price Caps for the 2010-15 Regulatory Control Period

Ergon Energy anticipates that the maximum price caps will continue to impact Ergon Energy's ability to effectively recover the costs of providing some Quoted and Fee Based Services. Under the regulatory framework in place for the 2010-15 regulatory control period, the shortfall in revenue for the services subject to the maximum price cap cannot be recovered by increasing network tariffs or prices for other Alternative Control Services. As a result, the shortfall is borne by Ergon Energy.

4.4 Tariff Setting Process for Street Lighting Services

In its Framework and Approach Stage 1, the AER indicated that it intended to apply a limited building block approach to determine the efficient costs of providing Street Lighting Services under a price cap control mechanism in the first year of the regulatory control period and establish a price path for remaining years of the period.

Ergon Energy has three Street Lighting Services:

- Street Lighting Service 1 - Provision of new street lighting assets;
- Street Lighting Service 2 - Operation, repair, replacement and maintenance of street lighting assets; and
- Street Lighting Service 3 - Alteration and relocation of existing street lighting assets.

Street Lighting Service 3 is a Quoted Service and therefore will be treated in accordance with section 4.2 of this Pricing Proposal.

Street Lighting Services 1 and 2 have been developed on a limited building block approach which includes the ROA, depreciation and opex expenditure and tax allowance for all street lights installed prior to 30 June 2010, and new street lights forecast to be installed by or gifted to Ergon Energy after 30 June 2010.

Based on the approved ARR for Street Lighting, Ergon Energy calculated a daily charge (in dollars per light per day) for “Major” and “Minor” street lights within each of the East, West and Mount Isa zones based on:

- The number of “Major” and “Minor” street lights within each zone; and
- The asset values of “Major” and “Minor” street lights.

Street lights owned and maintained by Ergon Energy are distinguished between Minor and Major, on the following basis:

- **Minor street lights:** Ergon Energy standard minor street lights are 50, 80 and 125 watt Mercury Vapour, 70 watt High Pressure Sodium vapour lights, and compact fluorescent lights of similar luminescence and include any other non standard or obsolete street lights that would be replaced with any of the above Ergon Energy standard minor street lights in accordance with Ergon Energy policy; and
- **Major street lights:** Ergon Energy standard major street lights are 100, 150, 250 and 400 watt High Pressure Sodium vapour lights and include any other non standard or obsolete street lights that would be replaced with any of the above Ergon Energy standard major street lights in accordance with Ergon Energy policy.

Ergon Energy uses the following methodology to calculate Street Lighting tariffs:

1. The asset values for “Major” and “Minor” street lights are multiplied by the number of “Major” and “Minor” street lights (respectively) in each zone (East, West and Mount Isa), and the result summed to obtain a total asset value of all of Ergon Energy’s street lights;
2. The proportion of the asset value of “Major” and “Minor” street lights within each zone is obtained by calculating the asset value of “Major” and “Minor” street lights within each zone, and dividing by the total asset value of all of Ergon Energy’s street lights;
3. The proportion of the value of major and minor street lights within each zone is then used to pro-rata the Street Lighting ARR by major and minor lights by zone; and
4. The pro-rated Street Lighting ARR by major and minor lights for each zone is then converted to a \$/day tariff for each street light type in each zone.

This approach ensures that costs are allocated in a cost-reflective manner to each of the street light types.

In accordance with the AER’s Final Distribution Determination, Ergon Energy has established a methodology for determining whether a contribution is payable towards the costs of construction of a new street light. Where a non-standard street lighting asset has been requested by a customer, the incremental cost difference between the standard and non standard asset will be charged using the Quoted Services formula. A

non standard street lighting asset is one where the cost of the service is not fully recovered through Ergon Energy's annual prices. The incremental cost will be calculated as the shortfall between the present value of expected revenue paid by the customer at the \$/day tariff over the life of a standard street lighting asset and the estimated cost of providing the non standard street lighting asset determined under the Quoted Services formula.

4.5 Tariff Schedules – Alternative Control Services

Appendix 3 sets out the Alternative Control Services Tariffs. As required by the AER's Final Distribution Determination, this document sets out the prices for Fee Based Services and Street Lighting Services for 2012-13. It also sets out examples of potential prices for Quoted Services.

In relation to each Quoted Service, it is important to note that the prices set out in Appendix 3 are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect the actual requirements of the service.

5 Compliance with Regulatory Obligations

5.1 Ergon Energy's Tariff Classes

Clause 6.18.2(b)(1) of the Rules requires that a Pricing Proposal must set out the tariff classes that are to apply for the relevant regulatory year.

Clause 6.18.3(a) of the Rules requires that a Pricing Proposal must define the tariff classes into which customers for Direct Control Services are divided.

Clause 6.18.3(b) of the Rules requires that each customer for a Direct Control Service must be a member of one or more tariff classes.

Clause 6.18.3(c) of the Rules requires that separate tariff classes must be constituted for customers to whom Standard Control Services are supplied and customers to whom Alternative Control Services are supplied (but a customer for both Standard Control Services and Alternative Control Services may be a member of 2 or more tariff classes).

Clause 6.18.3(d) of the Rules requires that a tariff class be constituted with regard to the need to group customers together on an economically efficient basis, and the need to avoid unnecessary transactions costs.

Clause 6.18.4(a) of the Rules provides that when approving the assignment of customers to tariff classes, or the reassignment of customers from one tariff class to another the AER is required to have regard to the following principles, that:

1. Customers should be assigned to tariff classes on the basis of one or more of the following factors:
 - (i) The nature and extent of their usage;
 - (ii) The nature of their connection to the network; and
 - (iii) Whether remotely-read interval metering or other similar metering technology has been installed at the customer's premises as a result of a regulatory obligation or requirement;
2. Customers with a similar connection and usage profile should be treated on an equal basis; and
3. Customers with micro-generation facilities should be treated no less favourably than customers without such facilities but with a similar load profile.

Ergon Energy's compliance with these requirements is set out in the following sections.

5.1.1 Standard Control Services

Ergon Energy's selection of Standard Control Service tariff classes follows its cost allocation process for tariff setting by differentiating between:

- Customer groupings – being ICC, CAC, SAC and EG customers;

- Zones – being East, West and Mount Isa; and
- Whether the customer is subject to the previous arrangements where connection assets form part of the network tariff or the Large Customer Connection process where new or augmented connection assets are paid for or contributed by the customer.

The consequent tariff classes under this approach are set out in section 5.1.3 of this Pricing Proposal thus meeting the requirements of clause 6.18.2(b)(1) and clause 6.18.3(a) of the Rules. In relation to clause 6.18.3(b) of the Rules, all of Ergon Energy's customers for Direct Control Services are a member of one or more tariff classes. This is because:

- All of Ergon Energy's customers are assigned to at least one network tariff in the DCOS model, and no customers are priced outside this model; and
- All network tariffs calculated by the DCOS model are allocated to Standard Control Service tariff classes (Standard Control Services being a subset of Direct Control Services).

Clause 6.18.3(c) is met by Ergon Energy distinguishing between the tariff classes for Standard Control Services and for Alternative Control Services.

Ergon Energy considers that its selection of tariff classes meets the remaining requirements of the Rules because:

- All of the tariffs within each tariff class have been grouped together on an economically efficient basis (clause 6.18.3(d)), – meaning that the costs of supplying each tariff within the class were roughly equivalent. This would not be met if Ergon Energy submitted on any broader basis;
- The tariffs within each tariff class have been grouped together in a manner that is easy for customers and retailers to understand which avoids unnecessary transaction costs (clause 6.18.3(d)(2)); and
- The tariffs within each tariff class are provided to customers that have similar usage, connection and metering characteristics, while not treating customers with micro-generation facilities less favourably than other customers with a similar load profile (therefore meeting clauses 6.18.4(a)(1), (2) and (3)). This is because Ergon Energy assigns customers to tariffs on the basis of geographical location, usage and size. Customers are first classified into the Eastern Zone, the Western Zone or the Mount Isa Zone, based on geographical location. In order to provide the appropriate economic and cost of supply signals, customers are then assigned into one of four groups of network users.

5.1.2 Alternative Control Services

Ergon Energy's tariff classes for Alternative Control Services are differentiated at the highest level according to the AER's Classification of Services, namely:

- Fee Based Services;
- Quoted Services; and
- Street Lighting Services.

Fee Based Services are separated into two separate tariff classes based on the type of feeder to which a customer requesting the service is connected. Specifically, separate tariff classes have been established for Fee Based Services provided to customers connected to:

- Urban or short rural feeders; and
- Long rural or isolated feeders.

The consequent tariff classes under this approach are set out in section 5.1.3 of this Pricing Proposal, thus meeting the requirements of clause 6.18.2(b)(1) and clause 6.18.3(a) of the Rules. In relation to clause 6.18.3(b) of the Rules, all of Ergon Energy's customers for Direct Control Services are a member of one or more tariff classes. This is because Alternative Control Services are a subset of Direct Control Services and all of Ergon Energy's customers are assigned to at least one network tariff and one Standard Control Services tariff class.

Clause 6.18.3(c) is met by Ergon Energy distinguishing between the tariff classes for Standard Control Services and for Alternative Control Services.

Ergon Energy considers that its selection of tariff classes meets the remaining requirements of the Rules because:

- All of the tariffs within each Alternative Control Service tariff class have been grouped together on an economically efficient basis (clause 6.18.3(d)), – meaning that the costs of supplying each service within the class are roughly equivalent;
- The tariffs within each tariff class have been grouped together in a manner that is easy for customers and retailers to understand which avoids unnecessary transaction costs (clause 6.18.3(d)(2)); and
- The tariffs within each tariff class are provided to customers that have similar service requirements, without distinguishing between customers that have or don't have micro-generation facilities (therefore meeting clauses 6.18.4(a)(1), (2), and (3)). This is because customers essentially assign themselves to Alternative Control Service tariff classes by selecting the service that they require.

5.1.3 List of Tariff Classes

Ergon Energy's complete list of tariff classes for Standard Control Services and Alternative Control Services is set out in Table 5.1 and Table 5.2 below. There are 33 tariff classes in total.

Table 5.1: Ergon Energy's Standard Control Services Tariff Classes

Tariff Class	Tariff	Network Tariff Codes
Individually Calculated Customer (Pre 30 June 2010) – East	ICC	EICCA1 onwards
Individually Calculated Customer (Pre 30 June 2010) – West	ICC	WICCA1 onwards
Individually Calculated Customer (Pre 30 June 2010) – Mount Isa	ICC	MICCA1 onwards
Individually Calculated Customer (Post 30 June 2010) - East	ICC	EICCB1 onwards
Individually Calculated Customer (Post 30 June 2010) – West	ICC	WICCB1 onwards
Individually Calculated Customer (Post 30 June 2010) – Mount Isa	ICC	MICCB1 onwards
Connection Asset Customers (Pre 30 June 2010) – East	CAC	ECACA1 onwards
Connection Asset Customers (Pre 30 June 2010) – West	CAC	WCACA1 onwards
Connection Asset Customers (Pre 30 June 2010) – Mount Isa	CAC	MCACA1 onwards
Connection Asset Customers (Post 30 June 2010) – East	CAC	ECACB1 onwards
Connection Asset Customers (Post 30 June 2010) – West	CAC	WCACB1 onwards
Connection Asset Customers (Post 30 June 2010) – Mount Isa	CAC	MCACB1 onwards
Embedded Generation (Pre 30 June 2010) – East	EG	EEGA1 onwards
Embedded Generation (Pre 30 June 2010) – West	EG	WEGA01 onwards
Embedded Generation (Pre 30 June 2010) – Mount Isa	EG	MEGA01 onwards
Embedded Generation (Post 30 June 2010) - East	EG	EEGB1 onwards
Embedded Generation (Post 30 June 2010) – West	EG	WEGB01 onwards
Embedded Generation (Post 30 June 2010) – Mount Isa	EG	MEGB01 onwards
Standard Asset Customer – Large (>100MWH pa) – East	Demand High Voltage	EDHT1, EDHT2, EDHT3
	Demand Large	EDLT1, EDLT2, EDLT3
	Demand Medium	EDMT1, EDMT2, EDMT3
	Demand Small	EDST1, EDST2, EDST3
Standard Asset Customer – Large (>100MWH pa) – West	Demand High Voltage	WDHT1, WDHT2, WDHT3
	Demand Large	WDLT1, WDLT2, WDLT3
	Demand Medium	WDMT1, WDMT2, WDMT3
	Demand Small	WDST1, WDST2, WDST3
Standard Asset Customer – Large (>100MWH pa) – Mount Isa	Demand High Voltage	MIDH
	Demand Large	MIDL
	Demand Medium	MIDM
	Demand Small	MIDS

Tariff Class	Tariff	Network Tariff Codes
Standard Asset Customer – Small (<100MWH pa) – East	Volume Large	EVLT1, EVLT2, EVLT3
	Volume Small	EVST1, EVST2, EVST3
	Volume Controlled	EVCT1, EVCT2, EVCT3
	Volume Night Controlled	EVNT1, EVNT2, EVNT3
Standard Asset Customer – Small (<100MWH pa) – West	Volume Large	WVLT1, WVLT2, WVLT3
	Volume Small	WVST1, WVST2, WVST3
	Volume Controlled	WVCT1, WVCT2, WVCT3
	Volume Night Controlled	WVNT1, WVNT2, WVNT3,
Standard Asset Customer – Small (<100MWH pa) – Mount Isa	Volume Large	MIVL
	Volume Small	MIVS
	Volume Controlled	MIVC
	Volume Night Controlled	MIVN
Standard Asset Customer – Unmetered - East	Volume Unmetered	EVUT1, EVUT2, EVUT3 EVUT1MI, EVUT2MI, EVUT3MI EVUT1MA, EVUT2MA, EVUT3MA
Standard Asset Customer – Unmetered - West	Volume Unmetered	WVUT1, WVUT2, WVUT3 WVUT1MI, WVUT2MI, WVUT3MI WVUT1MA, WVUT2MA, WVUT3MA
Standard Asset Customer – Unmetered – Mount Isa	Volume Unmetered	MIVU, MIVUMI, MIVUMA

Table 5.2: Ergon Energy's Alternative Control Services Tariff Classes

Tariff Class	Product Codes
ACS - Fee Based Services (urban/short rural)	DEENBHU, DEENBHS, REENBHU, REENBHS, REDDBHU, REDDBHS, REINSPU, REINSPS, SUPABOLU, SUPABOLS, TBSSPU, TBSSPS, TBSMPU, TBSMPS, SFRBHU, SFRBHS, WTVU, WTVS, WTVTU, WTVTS.
ACS - Fee Based Services (long rural/isolated)	DEENBHL, DEENBHI, REENBHL, REENBHI, REDDBHL, REDDBHI, REINSPL, REINSPI, SUPABOLL, SUPABOLI, TBSSPL, TBSSPI, TBSMPL, TBSMPI, SFRBHL, SFRBHI, WTVL, WTVI, WTVTL, WTVTI.
ACS - Quoted Services	As Quoted; or AQMMBMR, AQPMCR, CHTARIFU, CHTARIFS, CHTARIFL, CHTARIFI, CHTSRAU, CHTSRAS, CHTSRAL, CHTSRAI, DEENAHU, DEENAHHS, DEENAH, DEENAH, MOVEMTRU, MOVEMTRS, MOVEMTRL, MOVEMTRI, RMMTRU, RMMTRS, RMMTRL, RMMTRI, MTRCKRDU, MTRCKRDS, MTRCKRDL, MTRCKRDI, MTRTESTU, MTRTESTS, MTRTESTL, MTRTESTI, MTTSTCTU, MTTSTCTS, MTTSTCTL, MTTSTCTI, OHUU, OHUS, OHUL, OHUI, POASVU, POASVS, POASVL, POASVI, POATVU, POATVS, POATVL, POATVI, REENAHHS, REENAH, REENAH, REENAH, RMLDCRLU, RMLDCRLS, RMLDCRLL, RMLDCRLI, MTRREPU, MTRREPS, MTRREPL, MTRREPI, SPMTRRDU, SPMTRRDS, SPMTRRDL, SPMTRRDI, SFRAHU, SFRAHS, SFRAHL, SFRAHI.
ACS - Street Lighting Services – East	East - Major, East – Minor

Tariff Class	Product Codes
ACS - Street lighting Services – West	West – Major, West – Minor
ACS - Street lighting Services – Mount Isa	Mount Isa – Major, Mount Isa – Minor

It should be noted that in some instances, pre 30 June 2010 tariffs will apply to customers that connect after 30 June 2010. This is because the nature and/or timing of the connection application requires that these customers be recognised under the previous arrangements as existed prior to 30 June 2010. In these circumstances, customers will be notified that the tariffs for the pre 30 June 2010 tariff class will apply.

5.2 Assignment and Re-Assignment of Tariffs to Tariff Classes

Clause 6.18.4(a)(1) of the Rules requires Ergon Energy to assign customers to a tariff class or reassign customers to a tariff class on the basis of the nature and extent of their usage; the nature of their connection; or whether remotely read interval metering (or other similar technology) has been installed at the customer's premises as a result of a regulatory obligation or requirement.

Clause 6.18.4(a)(2) of the Rules requires Ergon Energy to treat customers with similar connection and usage profiles on an equal basis.

Appendix B of the AER's Final Distribution Determination sets out its procedures for assigning or reassigning customers to tariff classes.

5.2.1 Standard Control Services

In accordance with these requirements, Ergon Energy will continue to use the following range of criteria to assign new customers to a tariff class or to review the current assignment of customers to tariff classes for its Standard Control Services:

- Historical consumption data;
- Expected annual consumption for new customers or those customers who have a written agreement to increase their supply capacity;
- Customer's geographical location and assets utilised in connecting to the network; and
- For customers with energy consumption above 4 GWh per annum, a schematic of the customer's dedicated connection is obtained to ensure that customers with a similar connection and usage profile are treated on an equal basis.

Under clause 6.18.4(a)(3) Ergon Energy must not treat customers with micro-generation less favourably than other customers without such facilities but with a similar load profile. Accordingly Ergon Energy ensures that customers with micro-generation facilities are charged the network tariff for supply to their connection point as are any other network customers.

Under clause 6.18.4(a)(4), Ergon Energy must apply an effective system of assessment and review for any decision to assign or reassign a customer to a particular tariff class. Ergon Energy does not reassign customers without careful review and adequate

justification. Reassignment would only occur in a situation where a customer alters the underlying characteristics of their connection, in terms of size or nature of usage, in that it would no longer be appropriate for the customer to remain assigned to that tariff class.

Assignment or reassignment of customers to Ergon Energy's Standard Control Services tariff classes occurs as a result of:

- New connections to the network;
- Existing customers applying for increased capacity on the network;
- A change in a customer's NMI classification;
- Annual review as part of the process of developing and submitting the Pricing Proposal for approval by the Regulator; or
- Requests for a review of the assigned tariff class by either a customer and/or Retailer.

Ergon Energy has specific criteria for reassignment based on the relevant customer grouping as set out in the table below. Once a customer is identified for reassignment, the connection characteristics and the customer's expected energy consumption are used to determine the appropriate customer group, and hence tariff class, to which the customer should be re-assigned.

Table 5.3: Tariff Class Reassignment Criteria for Standard Control Services

	Assignment Criteria for new customers	Reassignment criteria for existing customers
SACs	- Annual consumption is expected to be below 4 GWh.	- Annual consumption increases, or is expected to increase, above 4 GWh; and /or - A customer requests an increase in supply capacity requiring augmentation to their connection assets which result in a dedicated supply system which is quite different and separate from the remainder of the supply network.
CACs	- Required capacity above 1,500 kVA; or - Annual consumption is expected to exceed 4 GWh.	Reassigned to Individually Calculated Customers: - Annual consumption increases, or is expected to increase, above 40 GWh; and/or - A customer requests an increase in supply capacity requiring augmentation to their connection assets which result in a dedicated supply system which is quite different and separate from the remainder of the supply network. Reassigned to Standard Asset Customers: - Annual consumption reduces or is expected to reduce below 4 GWh and their dedicated supply system is not considered to be quite different and separate from the remainder of the supply network.

	Assignment Criteria for new customers	Reassignment criteria for existing customers
ICCs	- Annual consumption is expected to exceed 40 GWh; or - Their dedicated supply system is considered to be quite different and separate from the remainder of the supply network.	- Annual consumption reduces or is expected to reduce below 40 GWh and their dedicated supply system is considered comparable with Connection Asset Customers at the same voltage level.

Once Ergon Energy has assigned or reviewed the assignment of a customer to a Standard Control Services tariff class, written notification is provided to the customer and their retailer prior to the assignment or reassignment occurring. The written notice includes:

- Advice that the customer may request further information from Ergon Energy and that it may object to the proposed assignment or reassignment;
- A link to Ergon Energy's website where a copy of the internal procedures for reviewing objections is located; and
- Advice that the customer is entitled to seek resolution via the dispute resolution process under Part 10 of the National Electricity Law (NEL), if the objection is not resolved by Ergon Energy to the satisfaction of the customer.

If either the customer or retailer raises an objection to a tariff class assignment or reassignment, the matter is reviewed and in need, escalated to the Manager Regulatory Affairs - Tariff Strategy for reassessment. Following this internal review, should the matter not be resolved to the satisfaction of the customer, the customer is entitled to refer the matter to the AER for resolution via the dispute resolution process available under Part 10 of the NEL.

Details on the assignment of customers to customer groups are currently set out in Ergon Energy's "Information Guide for Standard Control Services Pricing" and the "Network Tariff Guide for Standard Control Services".

In addition, the "Network Tariff Guide for Standard Control Services" sets out the procedures for a review of a customer's Network Tariff Code which will incorporate a review of the customer's tariff class to which the customer is assigned. The "Network Tariff Guide for Standard Control Services" will also provide details on how the customer or retailer can request further information on a customer's tariff class assignment, and the procedures to follow if the customer objects to a proposed tariff class assignment or reassignment. This information is also available in the "Retailer Handbook" issued and available to retailers operating in Ergon Energy's distribution area.

Under clause 6.18.4(b) of the Rules and Appendix B of the AER's Final Distribution Determination, Ergon Energy's Pricing Proposal must contain provisions for an effective system of assessment and review of the basis on which a customer is charged, if the charging parameters for a particular tariff result in a basis of charge that varies according to the usage or load profile of the customer. Ergon Energy understands that the basis of charge may vary according to usage or load profile where:

- A change in the usage or load profile of a customer may mean a different network tariff is more applicable; or

- Within a network tariff, the charging parameter changes according to the customer's usage. For example an additional charging parameter may be included once usage reaches a certain level.

As outlined above, Ergon Energy annually reviews the assignment of customers to its tariff classes as part of the process of developing and submitting its Pricing Proposal to the AER for approval. In undertaking this review, Ergon Energy uses set procedures and specific criteria (as set out in Table 5. above) to determine when it is appropriate for a customer to be reassigned to a tariff class as a result of material change in the customer's energy consumption or connection characteristics. These procedures by default also ensure the customer's underlying network tariff associated with a tariff class also remains appropriate with respect to the customer's usage or load profile. That is, if Ergon Energy identifies that a tariff class reassignment is required for a particular customer, then a change to the customer's underlying network tariff necessarily follows.

In addition to this annual review process, customers and/or retailers can expressly request Ergon Energy to review and change a network tariff assigned to a customer in the event of variation to the customer's usage or load profile. Provided that Ergon Energy agrees to the change in network tariff, this change can take effect during a regulatory year. Ergon Energy will use the set procedures and specific criteria set out above to determine if it is appropriate to change the network tariff assigned to a customer.

With respect to variations in the basis of charge within a network tariff, Ergon Energy can confirm that the charging parameters within its network tariffs do not alter as the customer's usage or load profile varies. That is, each charging parameter within a tariff applies equally to each customer assigned to the network tariff regardless of a customer's individual usage or load profile. Should a customer's usage or load profile vary, the customer can either manage their usage by responding to the price signals inherent in the charging parameters of the tariff, or request to be reassigned to an alternative network tariff (if applicable) that may be more cost effective for the customer's revised requirements.

Therefore, Ergon Energy believes it has an effective system for assessing and reviewing the basis on which a customer is charged.

5.2.2 Alternative Control Services

Ergon Energy notes that the tariffs for Alternative Control Services are allocated to tariff classes in accordance with the AER's Classification of Services as set out in Appendix A of the Final Distribution Determination. As such, customers essentially assign themselves to a tariff class by selecting the service that they require. As noted in section 5.1.2 above, Ergon Energy considers it meets the requirements of clauses 6.18.4(a)(1),(2), and (3) of the Rules and Appendix B of the AER's Final Distribution Determination because the tariffs within each tariff class are provided to customers that have similar service requirements. Further, as with Standard Control Services, the decision to assign or reassign a customer to a tariff class is subject to an effective system of assessment and review as required under clause 6.18.4(a)(4) of the Rules.

Ergon Energy uses the following range of criteria to assign new customers to a tariff class or to review the current assignment of customers to tariff classes for its Alternative Control Services:

- Fee Based Services – based on the:
 - o type of service requested by either a customer and/or a retailer; and
 - o type of feeder to which the customer is connected (i.e. Urban, Short Rural, Long Rural or Isolated);
- Quoted Services – based on the:
 - o type of service requested by either a customer and/or a retailer; and
- Street Lighting Services – based on the:
 - o type of service requested by either a customer and/or a retailer; and
 - o customer's geographical location or pricing zone (i.e. East, West or Mount Isa).

Assignment or reassignment of customers to Ergon Energy's Alternative Control Services tariff classes occurs as a result of:

- Large customers requesting a new connection to the network or an upgrade to their existing connection;
- Street lighting customers requesting installation of a new street light, or gifting a new street light to Ergon Energy;
- New service orders being raised as a result of a request for service by either a customer and/or retailer; and
- Requests for a review of the assigned tariff class by either a customer and/or retailer.

Ergon Energy's "Information Guide for Alternative Control Services Pricing", "Price List for Alternative Control Services" and the "Retailer Handbook" will set out which service belongs to each tariff class. Similar, to Standard Control Services, if a customer or retailer raises an objection to a tariff class assignment or reassignment for Alternative Control Services, the matter is reviewed and in need, escalated to the Manager Regulatory Affairs - Tariff Strategy for reassessment. Following this internal review, if the matter is not resolved to the satisfaction of the customer, the customer is entitled to refer the matter to the AER for resolution via the dispute resolution process available under Part 10 of the NEL.

The procedures a retailer or customer can follow if the customer objects to a proposed tariff class assignment or reassignment are set out in the publicly available "Information Guide for Alternative Control Services Pricing" and "Price List for Alternative Control Services" and to retailers in the "Retailer Handbook".

As the basis of charge and prices for these services is capped and/or developed using an approved formulae, Ergon Energy also considers that the charging parameters of its Alternative Control Service tariffs do not vary according to the usage or load profile of a customer (as it does for Standard Control Services). Therefore Ergon Energy considers that rule 6.1.8.4(b) does not apply for its Alternative Control Services. Therefore, Ergon Energy does not need to assess or review the basis (the approved formulae and price caps) on which a customer is charged for Alternative Control Services.

5.2.3 Objections to Tariff Class Assignments or Reassignments

At the time of preparing this Pricing Proposal Ergon Energy had not received any objections to a tariff class assignment or reassignment that occurred during the 2011-12 year. This includes assignments and reassignments relating to both Standard Control Services and Alternative Control Services.

5.3 Forecast Weighted Average Revenue

Clause 6.18.2(b)(4) of the Rules requires Ergon Energy to set out, for each tariff class related to Standard Control Services, the expected weighted average revenue for the relevant regulatory year and also for the current regulatory year. This is shown in Table 5.4 below:

Table 5.4: Weighted Average Revenue (excluding GST)

Tariff Class	2011-12	2012-13
Individually Calculated Customer (Pre 30 June 2010) – East	\$31,569,824	\$36,231,069
Individually Calculated Customer (Pre 30 June 2010) – West	\$13,334,575	\$14,506,185
Individually Calculated Customer (Pre 30 June 2010) – Mount Isa	\$0	\$0
Individually Calculated Customer (Post 30 June 2010) – East	\$0	\$0
Individually Calculated Customer (Post 30 June 2010) – West	\$0	\$0
Individually Calculated Customer (Post 30 June 2010) – Mount Isa	\$0	\$0
Connection Asset Customers – (Pre 30 June 2010) – East	\$66,486,334	\$77,441,984
Connection Asset Customers – (Pre 30 June 2010) – West	\$9,033,552	\$10,457,894
Connection Asset Customers – (Pre 30 June 2010) – Mount Isa	\$0	\$0
Connection Asset Customers – (Post 30 June 2010) – East	\$0	\$0
Connection Asset Customers – (Post 30 June 2010) – West	\$0	\$0
Connection Asset Customers – (Post 30 June 2010) – Mount Isa	\$0	\$0
Embedded Generation (Pre 30 June 2010) – East	\$2,664,784	\$3,045,661
Embedded Generation (Pre 30 June 2010) – West	\$230,345	\$265,370
Embedded Generation (Pre 30 June 2010) – Mount Isa	\$0	\$0
Embedded Generation (Post 30 June 2010) – East	\$0	\$0

Tariff Class	2011-12	2012-13
Embedded Generation (Post 30 June 2010) –West	\$0	\$0
Embedded Generation (Post 30 June 2010) –Mount Isa	\$0	\$0
Standard Asset Customer – Large (>100MWH pa) – East	\$212,935,361	\$248,317,319
Standard Asset Customer – Large (>100MWH pa) – West	\$50,770,011	\$59,181,341
Standard Asset Customer – Large (>100MWH pa) – Mount Isa	\$3,413,829	\$3,972,786
Standard Asset Customer – Small (<100MWH pa) – East	\$601,199,452	\$701,138,253
Standard Asset Customer – Small (<100MWH pa) – West	\$154,414,710	\$180,084,236
Standard Asset Customer – Small (<100MWH pa) – Mount Isa	\$9,469,808	\$11,034,598
Standard Asset Customer – Unmetered - East	\$15,856,855	\$18,391,530
Standard Asset Customer – Unmetered – West	\$2,169,626	\$2,507,629
Standard Asset Customer – Unmetered – Mount Isa	\$291,144	\$267,514

5.4 Compliance with Avoidable and Stand-Alone Cost Requirements

Clause 6.18.5(a) of the Rules requires that for each tariff class, the revenue expected to be recovered lie on or between an upper bound representing the stand alone cost of serving the customers who belong to that class and a lower bound representing the avoidable cost of not serving those customers.

The Rules do not specifically define avoidable and stand-alone costs or set out the methodology that should be applied to calculate these costs. As a result, Ergon Energy has set out its interpretation of both stand alone and avoidable costs in sections 5.4.1 and 5.4.2.

5.4.1 Stand Alone Costs

Stand alone costs for a tariff class are the costs of establishing and maintaining infrastructure to service a single tariff class. They represent the upper bound costs of providing a service for a particular tariff class. Assuming that no other tariff classes use network infrastructure means that the economies of scale from multiple tariff classes using a shared network are ignored.

5.4.2 Avoidable Cost

Ergon Energy has interpreted avoidable cost as the cost which would be avoided by Ergon Energy not providing a distribution service to a particular tariff class. Thus, if Ergon Energy was to cease providing services to CACs in its Western Zone, the avoidable cost methodology assesses which of its costs could be avoided.

The approach taken to determine stand alone and avoidable cost varies between Standard Control Services and Alternative Control Services and the processes for each are described in section 5.4.3.

5.4.3 Process for Determining Stand Alone and Avoidable Cost

5.4.3.1 Standard Control Services

Ergon Energy has estimated the stand alone costs for each tariff class by calculating the total annual costs of operating its network less the avoidable cost of serving other tariff classes. This approach uses the total ARR as a first step, and then subtracts all costs that would be avoided if no other tariff classes were served. This assumes the existence of the network in its current state. This is consistent with the interpretation that was included in Ergon Energy's 2011-12 Pricing Proposal approved by the AER on 10 June 2011.

Ergon Energy's assessments of stand alone cost were conducted using its DCOS Model. As noted in section 3.2 of this Pricing Proposal, DCOS allocates building blocks components of the ARR to zones, then customer groupings, then tariffs.

Ergon Energy determined the stand alone costs for each standard control service tariff class by obtaining the portion of the ARR to be recovered from the applicable zone (East, West or Mount Isa) and deducting the avoidable cost for all other tariff classes within that zone.

Ergon Energy interpreted avoidable cost for all tariff classes as the value of the connection assets for the customers within that tariff class. Shared costs relating to operational areas have been assumed to be unavoidable as these operational areas service multiple tariff classes.

Ergon Energy considers that:

- Its shared costs (overheads) – that is the costs of maintaining its corporate operations - are not avoidable for any tariff class. These services would need to be maintained for the remaining tariff classes even if one of the tariff class was not served;
- The costs of the shared network – that is, the costs of funding and maintaining the network – are not avoidable for any particular tariff class; and
- The direct costs of supplying each tariff class – being the ROA, depreciation and opex costs on assets that are directly attributable to the customers within that tariff class – are avoidable.

Ergon Energy's stand alone and avoidable costs for each Standard Control Service tariff class are set out in section 5.4.4.

5.4.3.2 Alternative Control Services (Fee Based and Quoted Services)

Ergon Energy provides its Alternative Control Services using a mix of shared and dedicated physical assets and labour. It prices each of these services on a full cost recovery basis using the formula approved by the AER.

The use of a cost based formula for pricing implies that if there were only one Alternative Control Service tariff class provided by Ergon Energy, then total revenue for that tariff class would equal the total cost of serving that tariff class (where total cost incurred in the provision of the service for that tariff class includes the full cost of assets used by all Alternative Control Services). Given that Ergon Energy provides more than one Alternative Control Service tariff class, the allocation of shared assets such as depots and vehicles are shared between all Alternative Control Services tariff classes. This means that the revenue received from one Alternative Control Services tariff class will be less than the stand-alone cost of that tariff class.

The avoidable cost of Alternative Control Services is the cost incurred in the delivery of the services to a tariff class if no services were provided to any other tariff class. The only avoided costs relating to Alternative Control Services relate to labour costs charged on an hourly basis and materials consumed during the course of providing the service. Given that the formula used to derive prices for Fee Based and Quoted Services includes a component of shared costs, the total revenue for tariff classes will exceed the avoidable portion.

Ergon Energy has not undertaken any quantitative analysis of its stand alone and avoidable costs for Alternative Control Services.

5.4.3.3 Alternative Control Services (Street Lighting)

The prices for Street Lighting Services have been developed by allocating the approved ARR to the East, West and Mount Isa Zones for Street Lighting Services. Given that Ergon Energy has proposed one street lighting tariff class for each of these zones, the revenue expected to be recovered from each tariff class will be equal to the allocation of the ARR for Street Lighting Services for that zone. It will not exceed the stand-alone cost. The expected revenue therefore lies on the stand-alone cost, and is therefore compliant with clause 6.18.5(a)(1) of the Rules.

The avoidable cost for Street Lighting Services is equal to the cost which would be avoided by Ergon Energy not providing a particular tariff class of Street Lighting Services. If Ergon Energy was to cease providing Street Lighting Services in its Western Zone, for example, it would avoid the allocated ARR for Street Lighting Services in that zone, comprising the ROA, depreciation and direct opex on street lighting assets but would not avoid shared costs (overheads) which provide services to other Alternative Control Services tariff classes. The avoidable cost will therefore be less than the stand-alone cost.

Given that expected revenue lies on the stand-alone cost, and avoidable cost is less than the stand-alone cost, the expected revenue complies with clause 6.18.5(a) of the Rules.

5.4.4 Comparison of Avoidable Costs, Expected Revenue and Stand Alone Costs

Table 5.5 below demonstrates that for each Standard Control Service tariff class, the 2012-13 expected revenue for each tariff class lies on or between the lower bound avoidable cost and an upper bound stand alone cost, in accordance with clause 6.18.5(a) of the Rules.

This calculation of these amounts is demonstrated in Appendix 2.

Table 5.5: Avoidable Costs, Expected Revenue and Stand Alone Costs for Standard Control Services (excluding GST)

Tariff Class	Avoidable Costs (\$M)	Expected Revenue (\$M)	Stand Alone Costs (\$M)	Clause 6.18.5(a) met
Individually Calculated Customer (Pre 30 June 2010) - East	\$10,639,327	\$36,231,069	\$933,354,602	Yes
Individually Calculated Customer (Pre 30 June 2010) – West	\$1,510,846	\$14,506,185	\$267,105,580	Yes
Individually Calculated Customer (Pre 30 June 2010) – Mount Isa	\$0	\$0	\$12,992,144	Yes
Individually Calculated Customer (Post 30 June 2010) – East	\$0	\$0	\$922,715,275	Yes
Individually Calculated Customer (Post 30 June 2010) – West	\$0	\$0	\$265,594,733	Yes
Individually Calculated Customer (Post 30 June 2010) – Mount Isa	\$0	\$0	\$12,992,144	Yes
Connection Asset Customers – (Pre 30 June 2010) – East	\$9,945,141	\$77,441,984	\$932,660,416	Yes
Connection Asset Customers – (Pre 30 June 2010) – West	\$978,376	\$10,457,894	\$266,573,109	Yes
Connection Asset Customers – (Pre 30 June 2010) – Mount Isa	\$0	\$0	\$12,992,144	Yes
Connection Asset Customers – (Post 30 June 2010) - East	\$0	\$0	\$922,715,275	Yes
Connection Asset Customers – (Post 30 June 2010) – West	\$0	\$0	\$265,594,733	Yes
Connection Asset Customers – (Post 30 June 2010) – Mount Isa	\$0	\$0	\$12,992,144	Yes
Embedded Generation (Pre 30 June 2010) – East	\$1,949,936	\$3,045,661	\$924,665,211	Yes
Embedded Generation (Pre 30 June 2010) – West	\$101,065	\$265,370	\$265,695,798	Yes
Embedded Generation (Pre 30 June 2010) – Mount Isa	\$0	\$0	\$12,992,144	Yes
Embedded Generation (Post 30 June 2010) – East	\$0	\$0	\$922,715,275	Yes
Embedded Generation (Post 30 June 2010) – West	\$0	\$0	\$265,594,733	Yes
Embedded Generation (Post 30 June 2010) – Mount Isa	\$0	\$0	\$12,992,144	Yes

Tariff Class	Avoidable Costs (\$M)	Expected Revenue (\$M)	Stand Alone Costs (\$M)	Clause 6.18.5(a) met
Standard Asset Customer – Large (>100MWH pa) - East	\$9,857,740	\$248,317,319	\$932,573,015	Yes
Standard Asset Customer – Large (>100MWH pa) – West	\$669,314	\$59,181,341	\$266,264,047	Yes
Standard Asset Customer – Large (>100MWH pa) – Mount Isa	\$218,106	\$3,972,786	\$13,210,250	Yes
Standard Asset Customer – Small (<100MWH pa) - East	\$108,030,312	\$701,138,253	\$1,030,745,587	Yes
Standard Asset Customer – Small (<100MWH pa) – West	\$10,038,278	\$180,084,236	\$275,633,011	Yes
Standard Asset Customer – Small (<100MWH pa) – Mount Isa	\$1,754,428	\$11,034,598	\$14,746,572	Yes
Standard Asset Customer – Unmetered – East	\$8,929,994	\$18,391,530	\$931,645,269	Yes
Standard Asset Customer – Unmetered – West	\$775,086	\$2,507,629	\$266,369,820	Yes
Standard Asset Customer – Unmetered - Mount Isa	\$200,290	\$267,514	\$13,192,434	Yes

5.5 Long Run Marginal Cost

Clause 6.18.5(b)(1) of the Rules requires that each charging parameter for a tariff class take into account the long run marginal cost for the service or, in the case of a charging parameter, for the element of the service to which the charging parameter relates.

Ergon Energy interprets Long Run Marginal Cost (LRMC) as the investment required to expand long term capacity in a network.

Ergon Energy has taken its guidance in relation to the application of LRMC for the purposes of satisfying clause 6.18.5(b)(1) of the Rules from the Distribution Pricing Framework Paper (MCE Paper) released by the Ministerial Council of Energy as part of the development of 6.18 of the Rules. The MCE Paper, while stopping short of providing a definition for LRMC, noted that it is:

...a forward looking concept that relies as much on probability and expectation as on fact. Estimates of marginal cost therefore represent the probability weighted cost of various expectations of demand and supply scenarios.

Importantly, the MCE Paper did not propose that a DNSP should define LRMC in a numerical sense – rather that a DNSP should select charging parameters based on long run costs incurred by a DNSP – such as the need for investment in network capacity – which have the potential to alter customer behaviour and which reflect the usage basis of that customer. By structuring tariffs based on charging parameters which signal these long term capacity based costs, a DNSP can ensure that its tariffs (and charging parameters) reflect LRMC.

The Paper did not define a method of determining LRMC - it merely suggested a mechanism by which LRMC could be reflected into prices through the selection of appropriate charging parameters by a utility.

As noted in section 3.2 of this Pricing Proposal, Ergon Energy determines the costs to be recovered from a tariff class, and designs the charging parameters within a tariff, in order to both reflect long term cost and provide effective signals, respectively. Ergon Energy's tariffs and charging parameters not only recover amounts from tariff classes which are reflective of the costs of providing services to these customers, but send pricing signals to customers through the selection of charging parameters.

Ergon Energy allocates the ARR to tariff classes on the basis of:

- The number of customers connected to the network. This allocator is appropriate for those costs that are dependent upon or driven by the number of connected customers. Ergon Energy has a number of costs that are customer number based, including a significant proportion of the overhead costs of the business that are driven by the number of staff and systems required to serve the customer base;
- Anytime energy. This is used to allocate those costs that are related to the size of the customer but not specifically to the demand that customer places on the network, for example, network operating costs. In addition, consistent with the recovery mechanisms used in the electricity market, costs that cannot be directly related to a product or service are recovered through the use of anytime energy prices (e.g. some overhead costs);
- ATMD. This method of allocation is used for shared system costs, on the basis that network development is driven by peak demand; and
- Asset value. This is used to apportion ROA, depreciation and opex costs.

Ergon Energy has selected its charging parameters in order to effectively signal LRMC to customers, in particular to signal the impact that customers will have on the network. The charging parameters within each network tariff have also been designed to recover Ergon Energy's expected revenue with minimum distortion to efficient patterns of consumption. This in turn assists to manage demand and volume variance risk, and avoids sending signals that could result in inefficient choices being made by customers of that tariff class.

As discussed in section 3.2.7 of this Pricing Proposal, Ergon Energy uses three types of charging parameters to signal customers, being fixed charges, capacity and actual demand charges and volume charges. These are discussed below.

5.5.1 Fixed Charges

As outlined in section 3.2.7.1, Ergon Energy's fixed charging parameter reflects the costs associated with the connection assets (entry and exit services) and network user management services. The fixed charge provides a signal to network users about the cost of their connection and sets a constant and foreseeable price for users to assist them in understanding costs prior to making a decision to connect to the network. Based on a \$/day, the fixed charge applies to all of Ergon Energy's customer groups.

5.5.2 Capacity and Demand Charges

As set out in section 3.2.7.2 of this Pricing Proposal, shared network costs for ICCs, CACs and SACs >100 MWh, are recovered through the capacity charge and/or actual

demand charge components. These charges provide the economic signals to customers on the use of the shared network.

While the demand charge is the main signal to the customer of the effect of their demand on system augmentation, it does not signal low load factor customers which may have infrequent demand usage but impose the same load requirements on the system as high load factor customers.

The capacity charge is intended to provide those signals.

The capacity charge differs from the demand charge in that the demands used for the calculation of the charge have different reset periods. The demand charge uses the actual demand recorded each month whereas the capacity charge uses an annual actual or authorised demand.

The demand charge is levied on the basis that network users which place greater pressure on the system should incur higher charges.

A capacity charge is similar to a demand charge but more effectively takes into account the impact that low load factor customers have on system augmentation. It sends signals to these customers to reduce their network charges by reducing the variability of their consumption.

The capacity charge (\$/kW/month) applies to ICC and CAC network users only and the actual demand charges (\$/kW/month) apply to ICC, CAC, and SACs >100 MWh users.

5.5.3 Volume Charges

As set out in section 3.2.7.3 of this Pricing Proposal, volume charges recover costs that have been allocated on a postage stamped basis. The volume charge applies to the energy (kWh) metered at all ICC, CAC and SAC installations.

5.6 Transaction Costs

Clause 6.18.5(b)(2)(i) of the Rules requires each tariff and, if it consists of two or more charging parameters, each charging parameter for a tariff class to be developed having regard to transaction costs associated with the tariff or charging parameter.

Ergon Energy confirms that it has had regard to the transaction costs when selecting its tariffs and charging parameters of tariff classes.

Ergon Energy has not altered the structure or format of its network tariffs applying from the last regulatory control period, or from the preceding regulatory year. As a result, Ergon Energy's charging parameters for these tariffs are well known to customers and their retailers. This means that customers and retailers will continue to be charged on the same basis as they have historically been, and will therefore not incur any unnecessary transaction costs in the application of Ergon Energy's proposed tariffs and charging parameters.

5.7 Response to Price Signals

Clause 6.18.5(b)(2)(ii) of the Rules requires each tariff and, if it consists of two or more charging parameters, each charging parameter for a tariff class to be developed having regard to whether customers of the relevant tariff class are able or likely to respond to price signals.

Each charging parameter of Ergon Energy's tariffs has been developed such that customers are able to respond to price signals.

The fixed charging parameter is designed to recover the fixed cost of a customer's connection assets. Network users can manage these costs by ensuring that the dedicated connection assets installed match their load and reliability requirement.

The capacity and demand charges provide a strong signal to customers on the use of the shared network, and to reduce maximum demands at point of identified constraints.

The volume charge provides a signal about the effect of increased customer usage on the network. If customers use more electricity, then they will bear an increasing portion of the ARR and therefore their charges will rise. Customers may manage the amount of their charges by reducing their usage.

5.8 Tariff Adjustment to Address Revenue Shortfalls

Clause 6.18.5(c) of the Rules provides that if, as a result of the operation of clause 6.18.5(b), Ergon Energy may not recover the expected revenue, tariffs will be adjusted in accordance with clause 6.18.5(c) of the Rules, so as to ensure recovery of expected revenue with minimum distortion to efficient patterns of consumption.

Ergon Energy does not need to apply this clause of the Rules in 2012-13 as the operation of clause 6.18.5(b) does not impact on Ergon Energy's ability to recover the expected revenue.

5.9 Compliance with Side Constraints

Clause 6.18.6(b) of the Rules applies side constraints in relation to weighted average revenue increases between *regulatory years*. In accordance with section 4.5.2 of the AER's Final Distribution Determination, the following formula is used to determine side constraints for each tariff class:

$$\frac{\sum_{j=1}^m d_t^j \times q_t^j}{\sum_{j=1}^m d_{t-1}^j \times q_t^j} \leq (1 + \Delta CPI_t) \times (1 - X_t) \times (1 + 2\%) \pm S_t \pm C_t \pm \text{transitional}_t \pm \text{passthrough}_t \pm \text{unders \& overs}_t$$

Ergon Energy confirms that the weighted average revenue for its tariff classes for 2012-13 are within the permissible percentage allowed by clause 6.18.6 of the Rules. This is demonstrated in Appendix 2.

Clause 11.16.8 of the Rules also sets out a transitional arrangement for Ergon Energy which provides that:

Nothing in clause 6.18.6 of the Rules precludes Ergon Energy implementing any of the price paths approved by the QCA in the next regulatory control period, including any necessary adjustments to those price paths in light of the revenues expected for the first year of the next regulatory control period

In the 2005-10 regulatory control period the QCA required Ergon Energy to adopt side constraints on individual contestable customer distribution price increases to a maximum of CPI plus 5 per cent per year². The transitional arrangement set out in clause 11.16.8 of the Rules allows for Ergon Energy to apply QCA approved price paths for some customers which exceed these side constraints. In section 4.5.2 of the AER's Final Distribution Determination, the AER stated that Ergon Energy must continue to comply with the individual side constraints for those customers listed in table 143 of Ergon Energy's Original Regulatory Proposal.

Ergon Energy has not applied the transitional rule as the customers subjected to the QCA approved price paths have since moved to cost reflective tariffs. This means these customers have the same side constraints applied to them as all other customers in accordance with clause 6.18.6 of the Rules.

Ergon Energy confirms that in accordance with clause 6.18.6(e) of the Rules, the application of side constraints does not limit the extent a tariff for a customer with remotely read interval metering may vary according to the time or other circumstances of the customer's usage.

5.10 Tariff Changes and Development

5.10.1 Adjustments to Tariffs within a Regulatory Year

Clause 6.18.2(b)(5) of the Rules requires that a Pricing Proposal set out the nature of any variation or adjustment to the tariff that could occur during the course of the regulatory year and the basis on which it could occur.

Variations or adjustments to tariffs will occur where an ICC, CAC or EG customer advises Ergon Energy that they intend to alter their demand or connection characteristics during 2012-13. In this case, Ergon Energy would recalculate the charging parameters of the tariff.

New tariffs will be created for each ICC, CAC or EG customer that connects during 2012-13, in line with the methodology set out in this Pricing Proposal.

There are no other variations or adjustments proposed to be made to remaining tariffs during the course of the next regulatory year. Tariff changes proposed to be introduced from the start of the next regulatory year are set out in section 5.11.

²Queensland Competition Authority, Final Determination on the Regulation of Electricity Distribution, April 2005, p.191

5.10.2 Expected Price Trends

6.18.9(a)(3) of the Rules requires Ergon Energy to provide a statement of expected price trends, to be updated each regulatory year, that gives an indication of how it expects prices to change over the regulatory control period and the reasons for the expected changes.

5.10.2.1 Standard Control Services

For each year of this regulatory control period, Ergon Energy will set its prices for Standard Control Services to meet the requirements of clause 6.18.6 of the Rules.

This means that the weighted average revenue to be raised from a tariff class will not increase between two regulatory years by more than the permissible percentage. Ergon Energy expects the permissible percentage to be 12.41% in 2013-14 and 6.53% in 2014-15. However, this is subject to the change in the actual CPI as published by the Australian Bureau of Statistics (ABS). The change in prices will also be subject to any adjustments approved by the AER for:

- Service Target Performance Incentive Scheme (STPIS);
- The difference between forecast and actual capital contributions;
- Transitional factors such as unders and overs adjustments for shared assets;
- Passthroughs;
- Jurisdictional scheme amounts; and
- Unders and overs associated with the DUOS unders and overs account.

The permissible percentage reflects the AER approved ARR for Ergon Energy adjusted to reflect the outcomes of the Tribunal's review of the AER's Final Distribution Determination. Specifically, the change in prices is due to a number of factors, including increased customer demand, improvements to maintenance programs, and higher labour and materials costs.

Ergon Energy's prices for the remainder of the regulatory control period will also be impacted by adjustments to Ergon Energy's ARR to give effect to the Queensland Government direction to under-collect revenue associated with capital expenditure savings identified through the ENCAP review. Further information on the adjustments to revenue as a result of the ENCAP review is set out in section 5.13.2.2 of this Pricing Proposal.

5.10.2.2 Alternative Control Services

5.10.2.2.1 Fee Based and Quoted Services

As discussed in section 4.2 above, the AER has approved the formula to be used in calculating tariffs for Fee Based and Quoted Services. In its Final Distribution Determination, the AER stated that Ergon Energy is to recalculate labour and materials escalators and overhead rates each year. However, on-costs and the capital allowance remain fixed for the entire regulatory control period.

As discussed in section 5.12, Ergon Energy has recalculated overhead rates but applied the current approved escalators to calculate indicative prices for each remaining year of the regulatory control period. These indicative prices are set out in Appendix 5. Ergon Energy is able to recalculate labour, materials and Other Costs escalators each year. However, Ergon Energy will only consider re-calculating escalators if actual costs diverge from those expected at the time of the AER's Final Distribution Determination. Overheads will be calculated in accordance with the AER approved Cost Allocation Method (CAM) each year which may result in different prices from those set out in Appendix 5.

5.10.2.2.2 Street Lighting Services

In its Final Distribution Determination, the AER set prices for Street Lighting Services for 2010-11 and price paths for each remaining year of the regulatory control period. The prices for the regulatory years 2011-12 to 2014-15 were subsequently amended following the Determination of the Tribunal. The prices for 2012-13 are set out in Appendix 3 and prices for each remaining year of the regulatory control period are set out in Appendix 5.

5.10.3 Future Tariff Development

Ergon Energy has been trialing different tariff structures via its Reward Based tariff trials and the Demand Based trials as part of Solar Cities. The learning from these will be informing the development of future tariff strategies and the development of innovative network tariffs to support improved utilisation of the network infrastructure. Ergon Energy is also looking at specific load control tariffs for application with pool pumps and air-conditioning control. The trials of these products will inform future tariff development.

Ergon Energy was considering making a number of changes to its network tariff structures in 2012-13, as a result of a number of new features the Queensland Government was planning to introduce for residential customers paying electricity prices under the regulated retail tariffs (or 'notified prices') from 1 July 2012. These changes included the introduction of an inclining block and time-of-use network tariff for residential customers and the introduction of a single flat rate network tariff for small business customers.

Ergon Energy received advice from the Queensland Government on 23 April 2012, that the proposed new inclining block tariff structure for retail Tariff 11 would not be proceeding from 1 July 2012. As Ergon Energy's proposed changes (and the timing of such changes) were designed to support the proposed new regulated retail tariff structure that applies to the vast majority of residential customers across Queensland (i.e. Tariff 11), Ergon Energy has decided to delay the introduction of any changes to its network tariff structures until the 2013-14 regulatory year.

This will allow Ergon Energy an opportunity to more broadly investigate alternative network tariff structures to apply to all network users, and not just those tariffs applying to small residential or small business customers (which was the focus of Ergon Energy's initial 2012-13 changes).

It is noted that as initiatives and further network tariff changes are developed, Ergon Energy will undertake public consultation. This will ensure that customers, retailers and interested parties are involved in the development of new tariffs and are cognisant of changes likely to affect them.

5.11 Changes between Regulatory Years

Clause 6.18.2(b)(8) of the Rules requires that a Pricing Proposal must describe the nature and extent of change from the previous regulatory year and demonstrate that the changes comply with the Rules and any applicable Distribution Determination.

There are no fundamental changes proposed to tariff classes, tariffs and tariff setting processes for Standard Control Services or Alternative Control Services for 2012-13 in comparison to those already approved by the AER as being compliant with the Rules and the Final Distribution Determination in the 2011-12 regulatory year.

5.12 Fee Based and Quoted Services Formula Components

5.12.1 Changes in Individual Formula Components

As set out in section 18.3.5 of the Final Distribution Determination, Ergon Energy is required to set out the nature and extent of any variation to an individual formula component, on-cost or overhead rate applicable in the previous regulatory year that is above the indicative prices for Quoted Services and Fee Based Services contained in the Final Distribution Determination. Where Ergon Energy varies a component, it is to provide quantitative and qualitative information to support the variation.

Under the AER's Final Distribution Determination, Ergon Energy is able to recalculate escalators and overhead rates for each regulatory year. Changes to the nature of these components and quantitative information to support the calculation are set out below.

5.12.1.1 Labour Escalators

The labour escalators contained in the AER's Final Distribution Determination were amended in 2011-12 to reflect the Tribunal's Determination on Labour Cost Escalators made on 19 May 2011.

For the 2012-13 regulatory year, Ergon Energy has adjusted the nominal labour escalators by annual CPI data to March 2012 as published by the ABS to develop prices for Fee Based Services and indicative prices for Quoted Services. Indicative prices for Fee Based and Quoted Services in the remaining regulatory years (i.e. 2012-13 onwards) are based on the nominal labour escalators in the Tribunal's Determination.

This approach is the same as that used by Ergon Energy in 2011-12 which was accepted by the AER.

5.12.1.2 Materials Escalators

Ergon Energy has adjusted the nominal materials escalators contained in the AER's Final Distribution Determination by annual CPI data to March 2012 as published by the ABS to calculate indicative prices for Quoted Services in 2012-13. Indicative prices for Quoted Services in the remaining regulatory years (i.e. 2013-14 onwards) are based on nominal materials escalators as set out in the AER's Final Distribution Determination.

There are no materials used in the provision of Fee Based Services.

This approach is the same as that used by Ergon Energy in 2011-12 which was accepted by the AER.

5.12.1.3 Other Costs Escalators

Ergon Energy has used the Other Costs escalators applied in the Tribunal's Determination on Other Costs.

For the 2012-13 regulatory year Ergon Energy has adjusted the Other Costs escalators by annual CPI data to March 2012 as published by the ABS to calculate indicative prices for Quoted Services. Indicative prices for Quoted Services in the remaining regulatory years (i.e. 2013-14 onwards) are based on nominal Other Costs escalators applied in the Tribunal's Determination on Other Costs.

Other Costs do not apply in the provision of Fee Based Services.

This approach is the same as that used by Ergon Energy in 2011-12 which was accepted by the AER.

5.12.1.4 Overhead Rates

Ergon Energy has recalculated its overhead rates to reflect the AER's Final Distribution Determination. Consistent with its AER approved CAM; Ergon Energy uses the following methodology to calculate the overhead rate for its Fee Based and Quoted Services.

1. **Determine the total direct costs for each Line of Business for the regulatory year.** At the start of the financial year, budget data is used to set costs expected to be directly attributable to business functions (or Lines of Business (LOB) within Ergon Energy in delivering its work plans. These costs include both capital expenditure and operating expenditure and are determined using an Activity Based Costing Method which maps and directly attributes expected costs of particular activities to categories of Distribution Services and LOB in the Chart of Accounts.
2. **Determine total shared costs (overheads) for the regulatory year.** Budget data is also used to set costs expected to relate to shared "support" services which cannot be directly attributable to a particular activity or work plan. For example shared costs include costs associated with business units that provide corporate support services across the Ergon Energy Group (*Corporate Overheads*). Shared costs also include costs associated with support services provided within Ergon Energy's operational business units that have not been directly attributed (*Operational Overheads*). Operational Overheads predominantly represent labour and administration costs associated with (but not limited to) senior management, technical and operations support, including maintenance and construction standards, mapping, technical data records and field investigations and auditing.
3. **Allocation of total shared costs (overheads) between Ergon Energy Group districts.** Ergon Energy Corporation Limited as the parent entity of the Ergon Energy Group provides "support" services to five other districts (or legal entities). These include:
 - EEQ – subsidiary entity responsible for providing non-competing electricity retail services to non-contestable customers;
 - Ergon Energy Telecommunications Pty Ltd (EET) – subsidiary entity and licensed telecommunications carrier providing wholesale high-speed data capacity to the Ergon Energy Group and external customers;

- Sparq Solutions Pty Ltd (SPARQ) – joint venture company formed by Ergon Energy and Energex providing information technology and telecommunications to Ergon Energy and Energex. Ergon Energy holds a 50% share in SPARQ;
- IP Special Purpose Vehicle (SPV1) – Share Holding Ministers approval obtained for Remote Observation Automated Modelling & Economic Simulation (ROAMES). Subsidiary entity responsible for providing the IP Subsidiaries, Vegetation Services and employment contracts/secondments to ROAMES; and
- Aircraft Special Purpose Vehicle (SPV2) – Share Holding Ministers approval obtained for ROAMES. Subsidiary entity responsible for the lease of ROAMES aircraft.

Once the total shared costs for the regulatory year are determined, the costs are then allocated to each entity in the Ergon Energy Group using causal allocators in accordance with the CAM. The choice of allocator depends on the type of service provided. For example, where the shared costs are identified as relating solely to a legal entity within the Ergon Energy Group, costs are directly allocated to that entity. In other cases, the number of transactions undertaken or time spent in providing the service may be the driver to calculate the allocation of work and shared costs to each entity.

4. Allocation of Shared Costs between Ergon Energy Lines of Business. The total shared costs that are allocated to Ergon Energy are then further allocated between LOB on the following basis:

- *Corporate Overheads* - costs are allocated to each LOB based on the ratio of direct costs for the LOB. That is, the total direct costs for each LOB (as described in step 1) are summed, and the relevant percentage of the total direct costs is determined for each LOB. These percentages are then used to fully allocate the shared corporate costs across each LOB.
- *Operational Overheads* - costs are also allocated to LOB based on a ratio of direct costs. However, as some of the operational business units do not take part in some LOB, the shared cost percentage rates are 'grossed up' in order to fully allocate the costs over applicable LOB. That is, the direct cost percentages for each LOB that the business unit takes part in are summed, to determine a proportion of the total direct costs that are attributable to the business unit. The direct cost percentage for each LOB is then divided by the total proportion of direct costs for the business unit to determine a percentage to fully allocate the shared operational costs over each applicable LOB.

5. Calculate the Overhead Rate for each LOB. The total overhead rate for each LOB is then calculated by summing the total allocated shared costs for each LOB, and expressing this as a percentage of total costs for each LOB (i.e. total costs being the sum of direct costs and overhead costs for each LOB).

6. Select appropriate Overhead Rate. The overhead rate used by Ergon Energy for its Alternative Control Services – Fee Based and Quoted Services is the calculated overhead rate for the LOB that represents the work undertaken and

- The Large Customer Connection service is mapped to the 'Connection Services Large' Activity and attributed to Regulated Capex LOB in the Chart of Accounts. This means the overhead rate used in the Quoted Services formula for Large Customer Connections will be the annual Regulated Capex overhead rate calculated by Ergon Energy in accordance with the CAM.
- Street Lighting Service 1 (i.e. relating to provision of new street lighting assets) is mapped to the 'Other Customer Requested Works' and attributed to the Regulated Capex LOB in the Chart of Accounts. This means the overhead rate used in the Quoted Services formula to calculate the incremental cost difference between the provision of standard and non-standard street lighting assets will be the annual Regulated Capex overhead rate calculated by Ergon Energy in accordance with the CAM.
- All other Fee Based and Quoted Services are mapped to a range of activities attributed to the Customer Services LOB in the Chart of Accounts. This means the overhead rate used in the formula to calculate the tariffs to be levied for these Fee Based and Quoted Services will be the annual Customer Services overhead rate calculated by Ergon Energy in accordance with the CAM.

Ergon Energy's 2012-13 overhead rate calculation is provided in Appendix 4.

5.12.2 Changes in Methodology Employed to Derive Formula Components

As set out in section 18.3.5 of the Final Distribution Determination, Ergon Energy is required to set out the nature and extent of any variation or adjustment to the methodology employed to derive a formula component escalator, on-cost or overhead rate.

Under the AER's Final Distribution Determination, Ergon Energy is able to recalculate labour and materials escalators and overhead rates for each regulatory year. Changes to the nature of these components are discussed below.

5.12.2.1 Labour Escalators

Ergon Energy has not varied or adjusted the methodology employed to derive labour escalators.

5.12.2.2 Materials Escalators

Ergon Energy has not varied or adjusted the methodology employed to derive materials escalators.

5.12.2.3 Other Costs Escalators

Ergon Energy has not varied or adjusted the methodology employed to derive Other Costs escalators.

5.12.2.4 Overhead Rates

Ergon Energy has not varied or adjusted the methodology employed to derive overhead rates. Overhead rates are calculated in accordance with the AER approved CAM.

5.12.3 Alternative Control Services Volume and Revenue for 2010-11

5.12.3.1 Quoted and Fee Based Services

As set out in section 18.3.5 of the Final Distribution Determination, the AER requires that Ergon Energy provide the volume of Fee Based and Quoted Services provided and the revenues recovered from the provision of each individual Fee Based and Quoted Service in the preceding regulatory year.

Appendix 6 sets out the actual volumes and revenues for the Fee Based and Quoted Services provided by Ergon Energy in 2010-11.

5.12.4 Street Lighting Services

Section 17.3.3 of the AER's Final Distribution Determination requires Ergon Energy to provide information on the revenues collected from the provision of each Street Lighting Service in the preceding regulatory year.

Appendix 6 sets out the actual revenues for the Street Lighting Services provided by Ergon Energy in 2010-11.

5.12.5 Procurement Processes and Procedures for Quoted Services

On 19 May 2011, the Tribunal varied the AER's Final Distribution Determination to allow Ergon Energy to charge customers other one-off costs it incurs relating to the delivery of a Quoted Service. As part of this decision, the Australian Competition Tribunal specified that Ergon Energy must report on any departures from its procurement processes and procedures in delivering Quoted Services that include Other Costs, as part of its Annual Pricing Proposal to the AER.

Ergon Energy provided detailed explanations of its procurement process and procedures to the AER as part of the Tribunal review process in 2010. Ergon Energy has not departed from, or varied its core procurement processes or procedures since that time.

5.12.6 Forecasting Methodology

Clause 6.18.8(a)(2) of the Rules requires that the AER must approve the Pricing Proposal if it is satisfied that all forecasts associated with the proposal are reasonable.

This section demonstrates how Ergon Energy considers that the forecasts used for pricing purposes are reasonable, having specific regard for the development of energy consumption, energy demand, customer numbers and TUOS payments forecasts.

Ergon Energy annually prepares a one year forecast of customer numbers and energy consumption for preparation of its Pricing Proposal. These forecasts are prepared in two phases, with the first phase prepared in November and December of each year to provide an initial forecast; and the second phase conducted in February and March of each year to refine the forecasts based on the most up to date information available prior

to preparation of the annual Pricing Proposal. In conjunction with this process, individual demands for the ICC, CAC and EG customers are also reviewed.

Both forecast phases have been completed and the refined forecasts used for developing the prices are set out in Appendix 2 of this Pricing Proposal.

The methodology used to forecast customer numbers, energy consumption and load for the purposes of developing the tariffs set out in this Pricing Proposal is the same as that used by Ergon Energy throughout the 2005-10 regulatory control period and the previous regulatory year (2011-12). The forecasts developed by this methodology in the 2011-12 regulatory year were accepted by the AER.

Ergon Energy's Network Pricing section undertakes its projection of energy throughput based on the customer groupings ICC, CAC, SAC and EG. The forecast for EGs is the amount of energy generated into Ergon Energy's distribution system. For all other customer groups, it is energy consumption that is being forecast.

The annual projections for energy for all customer groups are based on extrapolations of historical data, with adjustments made for known additions and losses of load. Forecasts are compared to reports provided by external consultants and to publicly available projections of population growth. Similarly customer number forecasts on extrapolations of historical data and compared to publicly available projections of population growth.

The projected load for ICC, CAC and EG customers who have Connection and Access Agreements is based on their contracted demand, or if no agreement is in place their forecast demand is based on extrapolations of historical data, with adjustments made for known additions and losses of load. Similarly the demand at each Transmission Connection Point is forecast which is provided to Powerlink for use in the setting of their TUOS prices. Demand is not measured or forecast for the SAC customer grouping but sub-group demands are calculated using appropriate Load Factors which are then used as allocators in the Pricing Model.

Annual TUOS payments are made to Powerlink, other DNSPs, and EGs for Avoided TUOS. The forecast of annual TUOS payments to Powerlink is based on preliminary TUOS prices provided by Powerlink in February each year and then updated with final prices in March each year. Forecast energy and demand is applied to the TUOS prices to give forecast TUOS payments for each Transmission Connection Point. Similarly forecast TUOS payments to other DNSPs are based on rates provided by the DNSP and forecast energy and demand applicable to that supply. Forecast Avoided TUOS payments are based on the relevant EGs forecast export used within the Ergon distribution network and the relevant Transmission locational energy charge.

In approving Ergon Energy's 2011-12 Pricing Proposal the AER accepted Ergon Energy's forecasts as reasonable. Ergon Energy has not departed from this forecasting methodology in developing prices for the 2012-13 regulatory year.

5.13 Revenue is consistent with MAR formula

5.13.1 Calculation of MAR

Section 4.5.1 of the AER's Final Distribution Determination requires Ergon Energy to demonstrate in its Pricing Proposal that the proposed tariffs and charging parameters which lead to expected revenue are consistent with the MAR formula, plus any unders or

overs adjustment needed to move the balance of DUOS unders and overs account to zero. This section sets out the manner in which prices have been developed based on revenue that has regard for all necessary adjustments.

The MAR formula, as set out in section 4.5.1 of the Final Distribution Determination, is determined annually by adjusting the allowed revenue (AR) for a given regulatory year for any STPIS revenue increment (or revenue decrement) and any approved passthrough amounts, as follows:

$$\text{MAR}_t = \text{AR}_t \pm S_t \pm C_t \pm \text{transitional}_t \pm \text{passthrough}_t$$

Where:

AR_t is the allowed revenue for regulatory year t

S_t is the STPIS factor to be applied in regulatory year t ;

C_t is the annual adjustment factor for the difference between actual and forecast capital contributions in year $t-2$ and indexed for two years by the nominal rate of return;

transitional_t is a transitional factor for matters such as unders and overs in tax paid during the current regulatory period and unders and overs adjustments related to standard shared assets used for purposes other than Standard Control Services; and

passthrough_t is the approved passthrough amounts with respect to regulatory year t , as determined by the AER.

In accordance with section 4.5.1 of the Final Distribution Determination, allowed revenue is to be calculated as:

$$\text{AR}_t = \text{AR}_{t-1} \times (1 + \Delta\text{CPI}_t) \times (1 - X_t)$$

Where:

AR_{t-1} is the allowed revenue for regulatory year $t-1$

ΔCPI_t is the annual percentage change in the ABS Consumer Price Index All Groups, Weighted Average of Eight Capital Cities from March in year $t-2$ to March in year $t-1$

X_t is the X factor for each year of the next regulatory control period as determined by the PTRM³

As noted in section 1.3.2 Ergon Energy has received a direction from the Queensland Government to not recover a portion of its AER-approved revenue allowances for the remainder of the regulatory control period as a result of the ENCAP Review.

To give effect to this direction, Ergon Energy is proposing to make an adjustment to the smoothed revenues to be collected from DUOS charges after performing the MAR and

³ Note that the Tribunal varied the outcomes from the Final Distribution Determination including the X factor to be applied in 2012-13.

unders and overs calculations in each regulatory year. This approach is consistent with the adjustment Ergon Energy made in 2011-12 to remove the revenue associated with the Tribunal's decision on gamma.

This adjusted MAR (or 'Revenue Cap') forms an input to the DCOS model, which is subsequently used to calculate Ergon Energy's network tariffs as set out in section 3.2 of this Pricing Proposal.

The resulting revenue cap calculation for 2012-13 is demonstrated in Appendix 2. The unders and overs calculations and ENCAP adjustments which form inputs into Ergon Energy's Revenue Cap calculation for 2012-13 are discussed further below.

5.13.2 DUOS Unders and Overs Account

Any difference between the MAR and the DUOS revenue recovered from customers and retailers, is offset via an annual unders and overs process. In a similar fashion to the TUOS revenue unders and overs process, there is a two year lag between the year in which the under or over recovery occurs and the year in which the adjustment to the expected DUOS revenue to be recovered is made.

The AER requires that Ergon Energy maintain a DUOS unders and overs account which is to be provided to the AER in this Pricing Proposal.

Table 5.6 below sets out the DUOS unders and overs account in accordance with Appendix D of the Final Distribution Determination and satisfies this requirement.

Table 5.6: Calculation of DUOS Unders and Overs Account (\$'000)

	2010-11	2012-13
	Actual	Forecast
Revenue from DUOS charges	\$1,017,159	\$1,366,900
Less under/over adjustment approved by regulator for year t-2 ⁴	(\$40,400)	n/a
Reversal of benchmark tax liability	n/a	n/a
Reversal of ENCAP Review revenue	n/a	(\$57,029)
Less MAR for the relevant year	\$1,123,100	\$1,402,886
Allowed Revenue (AR)		\$1,362,301
STPIS ⁵	\$0	(\$13,528)
Capital Contribution unders/overs adjustment		\$50,899
Transitional adjustments	\$0	(\$1,541)
Approved passthroughs		\$4,755
Under/Over recovery for the regulatory year	(\$65,541)	\$21,043
DUOS Unders and Overs Account		
Nominal WACC - as determined by AER for 2010-11	9.72%	
Opening balance	\$0	(\$78,901)
Interest on opening balance	\$0	n/a
Under/over recovery for regulatory year 2010-11	(\$65,541)	\$21,043
Interest on under/over recovery for regulatory year 2010-11	(\$13,360)	n/a
Closing Balance	(\$78,901)	(\$57,859)

4 Note this adjustment is subject to approval by the AER as part of this Pricing Proposal

5 Note this adjustment has been calculated based on the S Factor confirmed by AER correspondence dated 19 April 2012

5.13.2.1 Tolerance Limits for Clearing the DUOS Unders and Overs Account

Section 4.4.2 of the AER's Final Distribution Determination sets out the tolerance limits that are to apply to DUOS unders and overs recoveries. If the DUOS under or over recoveries compared to the MAR for year t is:

- Less than 2 percent, the DUOS under or over recovery will be cleared within one regulatory year;
- Between 2 percent and 5 percent, the DUOS under or over recovery can be spread over 2 regulatory years; and
- Greater than 5 percent, Ergon Energy must submit a plan to the AER detailing how it proposes to clear the balance of the DUOS unders and overs account.

Ergon Energy has applied the following formula in determining whether the adjustment required to clear Ergon Energy's DUOS unders and overs account in 2012-13 will exceed any of the tolerance limits set out in the AER's Final Distribution Determination.

$$\text{DUOS under/over recovery threshold}_t = \frac{\text{DUOS under/over balance} + \text{DUOS under/over}_t}{\text{MAR}_t}$$

Where:

DUOS under/over balance is the closing balance from the DUOS unders and overs account in year $t-1$ and indexed for one year by the nominal rate of return;

DUOS under/over_t is the under/over recovery associated with DUOS revenue in year $t-2$ and indexed for two years by the nominal rate of return; and

MAR_t is the Maximum Allowable Revenue in year t as determined by the formula set out in section 4.5.1 of the Final Distribution Determination.

Ergon Energy confirms that the adjustment required to clear the under-recoveries associated with DUOS revenue represents 5.62% of the MAR for 2012-13. This means the 5% tolerance limit has been exceeded and Ergon Energy will need to provide a plan to the AER detailing how it proposes to clear the balance of the DUOS unders and overs account.

As noted in section 1.3.1, Ergon Energy is proposing to spread the 2010-11 under-recovery over multiple regulatory years, instead of clearing the entire under-recovery as part of the network tariffs it sets for 2012-13.

Appendix 7 details Ergon Energy's proposed plan for clearing the 2010-11 under-recoveries.

5.13.2.2 ENCAP Revenue Adjustments

The total revenue to be removed from Ergon Energy's AER-approved revenue allowances for Standard Control Services as a result of the Queensland Government's direction equates to \$99.18M over three years.

For the 2012-13 regulatory year, Ergon Energy is proposing to reduce its revenue allowance by \$57.03M. This means the remaining \$42.15M will need to be spread over the last two years of the regulatory control period.

Appendix 7 sets out the adjustments Ergon Energy has forecast to make in 2013-14 and 2014-15 as a result of the Queensland Government's direction. Ergon Energy will confirm its proposed revenue adjustments to clear the remaining balance of the ENCAP reductions in subsequent years annual Pricing Proposals.

5.14 Compliance with the Rules and Distribution Determination Requirements

Clause 6.18.2(b)(7) of the Rules requires Ergon Energy to demonstrate compliance with the Rules and any applicable Distribution Determination.

Section 2 of this proposal provides references to demonstrated compliance of the Rules and applicable Distribution Determination.

APPENDIX 1: TABLE OF NETWORK TARIFFS FOR STANDARD CONTROL SERVICES

Clause 6.18.2(b)(2) of the Rules requires Ergon Energy to set out the proposed tariffs for each tariff class.

Clause 6.18.2(b)(3) of the Rules requires Ergon Energy to set out, for each proposed tariff, the charging parameters and the elements of service to which each charging parameter relates.

Clause 6.18.9(a)(2) of the Rules requires Ergon Energy to maintain on its website for each tariff the charging parameters and the elements of the service to which each charging parameter relates.

Standard Control Services network tariffs for SACs are set out below. Site specific network tariffs for ICCs, CACs and EGs are provided in (confidential) Appendix 2.

TARIFFS APPLYING TO STANDARD ASSET CUSTOMERS – LARGE (>100MWh per annum)

DEMAND HIGH VOLTAGE GST Exclusive									
Network Tariff Code	Minimum Chargeable Demand	Default Distribution Loss Factor		Distribution Use Of System (DUOS)			Transmission Use Of System (TUOS)		
				Fixed Charge (NDFC)	Actual Demand Charge (NDADC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Capacity Charge (NTCC)	Volume Charge (NTVC)
	kilowatts	Value	Code	\$ / day	dollars per kilowatt per month	dollars per kilowatt hour	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour
EDHT1	400	1.038	GEHL	\$16.787	\$17.080	\$0.00423	\$3.608	\$0.855	\$0.01232
EDHT2	400	1.038	GEHL	\$16.787	\$17.080	\$0.00423	\$3.072	\$1.898	\$0.01413
EDHT3	400	1.038	GEHL	\$16.787	\$17.080	\$0.00423	\$2.928	\$3.823	\$0.01789
WDHT1	400	1.133	GWHL	\$22.405	\$44.838	\$0.01144	\$3.608	\$0.855	\$0.01232
WDHT2	400	1.133	GWHL	\$22.405	\$44.838	\$0.01144	\$3.072	\$1.898	\$0.01413
WDHT3	400	1.133	GWHL	\$22.405	\$44.838	\$0.01144	\$2.928	\$3.823	\$0.01789
MIDH	400	1.036	GMHL	POA	POA	POA	\$2.732	\$0.600	\$0.00061

DEMAND LARGE GST Exclusive									
Network Tariff Code	Minimum Chargeable Demand	Default Distribution Loss Factor		Distribution Use Of System (DUOS)			Transmission Use Of System (TUOS)		
				Fixed Charge (NDFC)	Actual Demand Charge (NDADC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Capacity Charge (NTCC)	Volume Charge (NTVC)
	kilowatts	Value	Code	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour
EDLT1	400	1.078	GELL	\$28.131	\$21.589	\$0.00423	\$3.608	\$0.855	\$0.01232
EDLT2	400	1.078	GELL	\$28.131	\$21.589	\$0.00423	\$3.072	\$1.898	\$0.01413
EDLT3	400	1.078	GELL	\$28.131	\$21.589	\$0.00423	\$2.928	\$3.823	\$0.01789
WDLT1	400	1.357	GWLL	\$34.382	\$71.978	\$0.01144	\$3.608	\$0.855	\$0.01232
WDLT2	400	1.357	GWLL	\$34.382	\$71.978	\$0.01144	\$3.072	\$1.898	\$0.01413
WDLT3	400	1.357	GWLL	\$34.382	\$71.978	\$0.01144	\$2.928	\$3.823	\$0.01789
MIDL	400	1.079	GMLL	\$23.682	\$14.080	\$0.00397	\$2.732	\$0.600	\$0.00061

DEMAND MEDIUM GST Exclusive									
Network Tariff Code	Minimum Chargeable Demand	Default Distribution Loss Factor		Distribution Use Of System (DUOS)			Transmission Use Of System (TUOS)		
				Fixed Charge (NDFC)	Actual Demand Charge (NDADC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Capacity Charge (NTCC)	Volume Charge (NTVC)
	kilowatts	Value	Code	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour
EDMT1	120	1.078	GELL	\$16.074	\$22.506	\$0.00423	\$3.608	\$0.855	\$0.01232
EDMT2	120	1.078	GELL	\$16.074	\$22.506	\$0.00423	\$3.072	\$1.898	\$0.01413
EDMT3	120	1.078	GELL	\$16.074	\$22.506	\$0.00423	\$2.928	\$3.823	\$0.01789
WDMT1	120	1.357	GWLL	\$18.509	\$73.185	\$0.01144	\$3.608	\$0.855	\$0.01232
WDMT2	120	1.357	GWLL	\$18.509	\$73.185	\$0.01144	\$3.072	\$1.898	\$0.01413
WDMT3	120	1.357	GWLL	\$18.509	\$73.185	\$0.01144	\$2.928	\$3.823	\$0.01789
MIDM	120	1.079	GMLL	\$14.959	\$14.743	\$0.00397	\$2.732	\$0.600	\$0.00061

DEMAND SMALL GST Exclusive									
Network Tariff Code	Minimum Chargeable Demand	Default Distribution Loss Factor		Distribution Use Of System (DUOS)			Transmission Use Of System (TUOS)		
				Fixed Charge (NDFC)	Actual Demand Charge (NDADC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Capacity Charge (NTCC)	Volume Charge (NTVC)
	kilowatts	Value	Code	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour
EDST1	30	1.078	GELL	\$1.731	\$26.147	\$0.00423	\$3.608	\$0.855	\$0.01232
EDST2	30	1.078	GELL	\$1.731	\$26.147	\$0.00423	\$3.072	\$1.898	\$0.01413
EDST3	30	1.078	GELL	\$1.731	\$26.147	\$0.00423	\$2.928	\$3.823	\$0.01789
WDST1	30	1.357	GWLL	\$2.888	\$77.145	\$0.01144	\$3.608	\$0.855	\$0.01232
WDST2	30	1.357	GWLL	\$2.888	\$77.145	\$0.01144	\$3.072	\$1.898	\$0.01413
WDST3	30	1.357	GWLL	\$2.888	\$77.145	\$0.01144	\$2.928	\$3.823	\$0.01789
MIDS	30	1.079	GMLL	\$1.725	\$18.101	\$0.00397	\$2.732	\$0.600	\$0.00061

TARIFFS APPLYING TO STANDARD ASSET CUSTOMERS – SMALL (<100MWh per annum)

VOLUME LARGE GST Exclusive						
Network Tariff Code	Default Distribution Loss Factor		Distribution Use Of System (DUOS)		Transmission Use Of System (TUOS)	
			Fixed Charge (NDFC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Volume Charge (NTVC)
	Value	Code	dollars per day	dollars per kilowatt hour	dollars per day	dollars per kilowatt hour
EVL1	1.078	GELL	\$0.858	\$0.11752	\$0.136	\$0.01232
EVL2	1.078	GELL	\$0.858	\$0.11752	\$0.229	\$0.01413
EVL3	1.078	GELL	\$0.858	\$0.11752	\$0.320	\$0.01789
WVLT1	1.357	GWLL	\$1.503	\$0.34716	\$0.136	\$0.01232
WVLT2	1.357	GWLL	\$1.503	\$0.34716	\$0.229	\$0.01413
WVLT3	1.357	GWLL	\$1.503	\$0.34716	\$0.320	\$0.01789
MIVL	1.079	GMLL	\$0.869	\$0.07850	\$0.143	\$0.00061

VOLUME SMALL GST Exclusive						
Network Tariff Code	Default Distribution Loss Factor		Distribution Use Of System (DUOS)		Transmission Use Of System (TUOS)	
			Fixed Charge (NDFC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Volume Charge (NTVC)
	Value	Code	dollars per day	dollars per kilowatt hour	dollars per day	dollars per kilowatt hour
EVST1	1.078	GELL	\$0.858	\$0.11974	\$0.136	\$0.01232
EVST2	1.078	GELL	\$0.858	\$0.11974	\$0.229	\$0.01413
EVST3	1.078	GELL	\$0.858	\$0.11974	\$0.320	\$0.01789
WVST1	1.357	GWLL	\$1.503	\$0.32018	\$0.136	\$0.01232
WVST2	1.357	GWLL	\$1.503	\$0.32018	\$0.229	\$0.01413
WVST3	1.357	GWLL	\$1.503	\$0.32018	\$0.320	\$0.01789
MIVS	1.079	GMLL	\$0.868	\$0.07336	\$0.143	\$0.00061

VOLUME NIGHT CONTROLLED GST Exclusive						
Network Tariff Code	Default Distribution Loss Factor		Distribution Use Of System (DUOS)		Transmission Use Of System (TUOS)	
			Fixed Charge (NDFC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Volume Charge (NTVC)
	Value	Code	dollars per day	dollars per kilowatt hour	dollars per day	dollars per kilowatt hour
EVNT1	1.078	GELL	\$0.089	\$0.00284		\$0.01232
EVNT2	1.078	GELL	\$0.089	\$0.00284		\$0.01413
EVNT3	1.078	GELL	\$0.089	\$0.00284		\$0.01789
WVNT1	1.357	GWLL	\$0.107	\$0.00893		\$0.01232
WVNT2	1.357	GWLL	\$0.107	\$0.00893		\$0.01413
WVNT3	1.357	GWLL	\$0.107	\$0.00893		\$0.01789
MIVN	1.079	GMLL	\$0.115	\$0.00271		\$0.00061

VOLUME CONTROLLED GST Exclusive						
Network Tariff Code	Default Distribution Loss Factor		Distribution Use Of System (DUOS)		Transmission Use Of System (TUOS)	
			Fixed Charge (NDFC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Volume Charge (NTVC)
	Value	Code	dollars per day	dollars per kilowatt hour	dollars per day	dollars per kilowatt hour
EVCT1	1.078	GELL	\$0.089	\$0.02424		\$0.01232
EVCT2	1.078	GELL	\$0.089	\$0.02424		\$0.01413
EVCT3	1.078	GELL	\$0.089	\$0.02424		\$0.01789
WVCT1	1.357	GWLL	\$0.107	\$0.07039		\$0.01232
WVCT2	1.357	GWLL	\$0.107	\$0.07039		\$0.01413
WVCT3	1.357	GWLL	\$0.107	\$0.07039		\$0.01789
MIVC	1.079	GMLL	\$0.115	\$0.01007		\$0.00061

TARIFFS APPLYING TO STANDARD ASSET CUSTOMERS – UNMETERED

VOLUME UNMETERED GST Exclusive						
Network Tariff Code	Default Distribution Loss Factor		Distribution Use Of System (DUOS)		Transmission Use Of System (TUOS)	
			Fixed Charge (NDFC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Volume Charge (NTVC)
	Value	Code	dollars per day	dollars per kilowatt hour	dollars per day	dollars per kilowatt hour
EVUT1	1.078	GELL	\$0.005	\$0.21366		\$0.01232
EVUT1MI	1.078	GELL	\$0.005	\$0.21366		\$0.01232
EVUT1MA	1.078	GELL	\$0.005	\$0.21366		\$0.01232
EVUT2	1.078	GELL	\$0.005	\$0.21366		\$0.01413
EVUT2MI	1.078	GELL	\$0.005	\$0.21366		\$0.01413
EVUT2MA	1.078	GELL	\$0.005	\$0.21366		\$0.01413
EVUT3	1.078	GELL	\$0.005	\$0.21366		\$0.01789
EVUT3MI	1.078	GELL	\$0.005	\$0.21366		\$0.01789
EVUT3MA	1.078	GELL	\$0.005	\$0.21366		\$0.01789
WVUT1	1.357	GWLL	\$0.225	\$0.24465		\$0.01232
WVUT1MI	1.357	GWLL	\$0.225	\$0.24465		\$0.01232
WVUT1MA	1.357	GWLL	\$0.225	\$0.24465		\$0.01232
WVUT2	1.357	GWLL	\$0.225	\$0.24465		\$0.01413
WVUT2MI	1.357	GWLL	\$0.225	\$0.24465		\$0.01413
WVUT2MA	1.357	GWLL	\$0.225	\$0.24465		\$0.01413
WVUT3	1.357	GWLL	\$0.225	\$0.24465		\$0.01789
WVUT3MI	1.357	GWLL	\$0.225	\$0.24465		\$0.01789
WVUT3MA	1.357	GWLL	\$0.225	\$0.24465		\$0.01789
MIVU	1.079	GMLL	\$0.181	\$0.02615		\$0.00061
MIVUMI	1.079	GMLL	\$0.181	\$0.02615		\$0.00061
MIVUMA	1.079	GMLL	\$0.181	\$0.02615		\$0.00061

APPENDIX 2: STANDARD CONTROL SERVICES PRICING MODEL

This confidential model provides the following information for the AER's consideration:

- Calculation of the unders and overs accounts for DUOS and TUOS;
- Demonstration of how Ergon Energy meets the side constraints test under section 6.18.6 of the Rules;
- Demonstration of how Ergon Energy meets the tests for stand alone and avoidable cost under section 6.18.5 of the Rules; and
- The network tariff rates for 2012-13 and associated revenues and reconciliation.

APPENDIX 3: ALTERNATIVE CONTROL SERVICES TARIFFS

All prices in this Appendix are GST Exclusive.

Fee Based Services

Service	2012-13 GST Exclusive
Subdivision Fees	\$ 853.55
Project Fees	\$ 853.55
De-energisation during business hours - urban/short rural feeders	\$ 90.96
De-energisation during business hours - long rural / isolated feeders	\$ 527.23
Re-energisation during business hours - urban/short rural feeders	\$ 72.33
Re-energisation during business hours - long rural / isolated feeders	\$ 491.38
Re-test at customer's installation during business hours - urban/short rural feeders	\$ 316.34
Re-test at customer's installation during business hours - long rural / isolated feeders	\$ 632.67
Supply Abolishment during business hours - urban/short rural feeders	\$ 316.34
Supply Abolishment during business hours - long rural / isolated feeders	\$ 632.67
Temporary Builders Supply, not in permanent position- single phase metered - business hours - urban/short rural feeders	\$ 527.23
Temporary Builders Supply, not in permanent position- single phase metered - business hours - long rural / isolated feeders	\$ 843.56
Temporary Builders Supply not in permanent position – multi phase metered - business hours - urban/short rural feeders	\$ 527.23
Temporary Builders Supply not in permanent position – multi phase metered - business hours - long rural / isolated feeders	\$ 843.56
Restoration of supply required due to customer action, during business hours - urban/short rural feeders	\$ 316.34
Restoration of supply required due to customer action, during business hours - long rural / isolated feeders	\$ 632.67
Wasted truck visit - one person crew - urban/short rural feeders	\$ 49.82
Wasted truck visit - one person crew - long rural / isolated feeders	\$ 199.29
Wasted truck visit - two person crew - urban/short rural feeders	\$ 104.62
Wasted truck visit - two person crew - long rural / isolated feeders	\$ 418.47

Quoted Services

In relation to each Quoted Service, it is important to note that the prices set out are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect the actual requirements of the service.

Service	2012-13 GST Exclusive
Removal / Relocation of Ergon Energy assets at customer request	\$ 28,488.85
Move point of attachment at customer's request	\$ 632.67
Tiger tails	\$ 328.78
Metering Data Provider services	\$ 144.47
Metering Data Provider services above minimum requirements	\$ 391.92
Meter test	\$ 421.78
Change tariff	\$ 219.18
Change time switch	\$ 109.59
Removal of meter	\$ 210.89
Removal of load control device	\$ 210.89
Special meter read	\$ 52.81
Reprogram card meters	\$ 328.78
Exchange meter	\$ 316.34
Move meter	\$ 316.34
Provision of connection services above minimum requirements	\$ 697.53
Overhead service upgrade	\$ 527.23
Underground service upgrade	\$ 3,864.33
Provision, installation and maintenance of meters beyond minimum requirements at customer request	\$ 681.76
Prepayment meters at customer request	\$ 983.48
Temporary de-energisation and re-energisation	\$ 316.34
De-energisation after hours	\$ 226.51
Re-energisation after hours	\$ 180.11
Attend loss of supply - not DNSP fault (after hours)	\$ 409.35
Emergency Recoverable works	\$ 1,051.72
Subdivision Fees	\$ 1,467.96
Project Fees	\$ 564.60
High Load Escort - lifting of lines	\$ 7,013.89
Rectification of illegal connections	\$ 547.96
Conversion of aerial bundled cables	\$ 652.66
Provision of service crew / additional crew	\$ 273.98
Large Customer Connection – example 1	\$ 166,702.52

Service	2012-13 GST Exclusive
Large Customer Connection – example 2	\$ 9,901,676.59
Large Customer Connection – example 3	\$ 10,762,839.97

Street Lighting Services

Street Lighting Charges	2012-13 Fixed Charge (\$/day/light) GST - Exclusive
East – Major	0.93
East – Minor	0.55
West – Major	0.93
West – Minor	0.55
Mount Isa – Major	0.93
Mount Isa – Minor	0.55

APPENDIX 4: ALTERNATIVE CONTROL SERVICES PRICING MODELS

These confidential models provide quantitative information to demonstrate the calculation of Fee Based and Quoted Services.

APPENDIX 5: ALTERNATIVE CONTROL SERVICES FUTURE PRICES

As discussed in section 5.10, Ergon Energy is required to provide a statement of expected price trends. This Appendix sets out indicative prices for Fee Based and Quoted Services and actual prices for Street Lighting Services for 2012-13 to 2014-15.

As noted in section 5.10.2.2.1, the prices for Fee Based and Quoted Services are indicative only and will be recalculated each year to reflect revised labour and materials escalators and overhead rates. All prices in this Appendix are GST Exclusive.

Fee Based Services

Service	2013-14	2014-15
Subdivision Fees	\$ 889.20	\$ 933.66
Project Fees	\$ 889.20	\$ 933.66
De-energisation during business hours - urban/short rural feeders	\$ 94.77	\$ 99.51
De-energisation during business hours - long rural / isolated feeders	\$ 549.30	\$ 576.79
Re-energisation during business hours - urban/short rural feeders	\$ 75.36	\$ 79.13
Re-energisation during business hours - long rural / isolated feeders	\$ 511.95	\$ 537.57
Re-test at customer's installation during business hours - urban/short rural feeders	\$ 329.58	\$ 346.07
Re-test at customer's installation during business hours - long rural / isolated feeders	\$ 659.16	\$ 692.15
Supply Abolishment during business hours - urban/short rural feeders	\$ 329.58	\$ 346.07
Supply Abolishment during business hours - long rural / isolated feeders	\$ 659.16	\$ 692.15
Temporary Builders Supply, not in permanent position- single phase metered - business hours - urban/short rural feeders	\$ 549.30	\$ 576.79
Temporary Builders Supply, not in permanent position- single phase metered - business hours - long rural / isolated feeders	\$ 878.89	\$ 922.86
Temporary Builders Supply not in permanent position - multi phase metered - business hours - urban/short rural feeders	\$ 549.30	\$ 576.79
Temporary Builders Supply not in permanent position - multi phase metered - business hours - long rural / isolated feeders	\$ 878.89	\$ 922.86
Restoration of supply required due to customer action, during business hours - urban/short rural feeders	\$ 329.58	\$ 346.07

Service	2013-14	2014-15
Restoration of supply required due to customer action, during business hours - long rural / isolated feeders	\$ 659.16	\$ 692.15
Wasted truck visit - one person crew - urban/short rural feeders	\$ 51.91	\$ 54.50
Wasted truck visit - one person crew - long rural / isolated feeders	\$ 207.63	\$ 218.00
Wasted truck visit - two person crew - urban/short rural feeders	\$ 109.00	\$ 114.44
Wasted truck visit - two person crew - long rural / isolated feeders	\$ 435.99	\$ 457.77

Quoted Services

In relation to each Quoted Service, it is important to note that the prices set out are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect the actual requirements of the service.

Service	2013-14	2014-15
Removal / Relocation of Ergon Energy assets at customer request	\$ 29,567.81	\$ 30,904.32
Move point of attachment at customer's request	\$ 659.16	\$ 692.15
Tiger tails	\$ 342.54	\$ 359.66
Metering Data Provider services	\$ 150.51	\$ 158.01
Metering Data Provider services above minimum requirements	\$ 408.32	\$ 428.68
Meter test	\$ 439.44	\$ 461.43
Change tariff	\$ 228.36	\$ 239.78
Change time switch	\$ 114.18	\$ 119.89
Removal of meter	\$ 219.72	\$ 230.72
Removal of load control device	\$ 219.72	\$ 230.72
Special meter read	\$ 55.02	\$ 57.77
Reprogram card meters	\$ 342.54	\$ 359.66
Exchange meter	\$ 329.58	\$ 346.07
Move meter	\$ 329.58	\$ 346.07
Provision of connection services above minimum requirements	\$ 725.23	\$ 759.59
Overhead service upgrade	\$ 549.30	\$ 576.79
Underground service upgrade	\$ 4,013.25	\$ 4,197.77
Provision, installation and maintenance of meters beyond minimum requirements at customer request	\$ 708.40	\$ 741.46
Prepayment meters at customer request	\$ 1,022.83	\$ 1,071.72

Service	2013-14	2014-15
Temporary de-energisation and re-energisation	\$ 329.58	\$ 346.07
De-energisation after hours	\$ 235.98	\$ 247.78
Re-energisation after hours	\$ 187.65	\$ 197.03
Attend loss of supply - not DNSP fault (after hours)	\$ 426.47	\$ 447.80
Emergency Recoverable works	\$ 1,095.73	\$ 1,150.56
Subdivision Fees	\$ 1,529.24	\$ 1,605.88
Project Fees	\$ 588.17	\$ 617.65
High Load Escort - lifting of lines	\$ 7,307.46	\$ 7,672.82
Rectification of illegal connections	\$ 570.90	\$ 599.44
Conversion of aerial bundled cables	\$ 679.24	\$ 712.25
Provision of service crew / additional crew	\$ 285.45	\$ 299.72
Large Customer Connection – example 1	\$ 173,620.69	\$ 181,472.94
Large Customer Connection – example 2	\$ 10,323,351.72	\$ 10,777,891.04
Large Customer Connection – example 3	\$ 11,218,705.89	\$ 11,712,728.87

Street Lighting Services

Street Lighting Charges	Fixed Charge (\$/day/light)	
	GST Exclusive	
	2013-14	2014-15
East - Major	0.97	0.97
East - Minor	0.58	0.58
West - Major	0.97	0.97
West - Minor	0.58	0.58
Mount Isa - Major	0.97	0.97
Mount Isa - Minor	0.58	0.58

APPENDIX 6: ALTERNATIVE CONTROL SERVICES REPORTING

This confidential appendix sets out the volume and revenue Ergon Energy is required to report to the AER on its Fee Based and Quoted Services and Street Lighting Service, in accordance with the requirements set out in the AER's Final Distribution Determination.

APPENDIX 7: PROPOSED PLAN TO CLEAR DUOS UNDER-RECOVERIES

This confidential appendix discusses how Ergon Energy proposes to clear the balance of its DUOS unders and overs account associated with the 2010-11 regulatory year in accordance with section 4.4.2 of the AER's Final Distribution Determination.

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